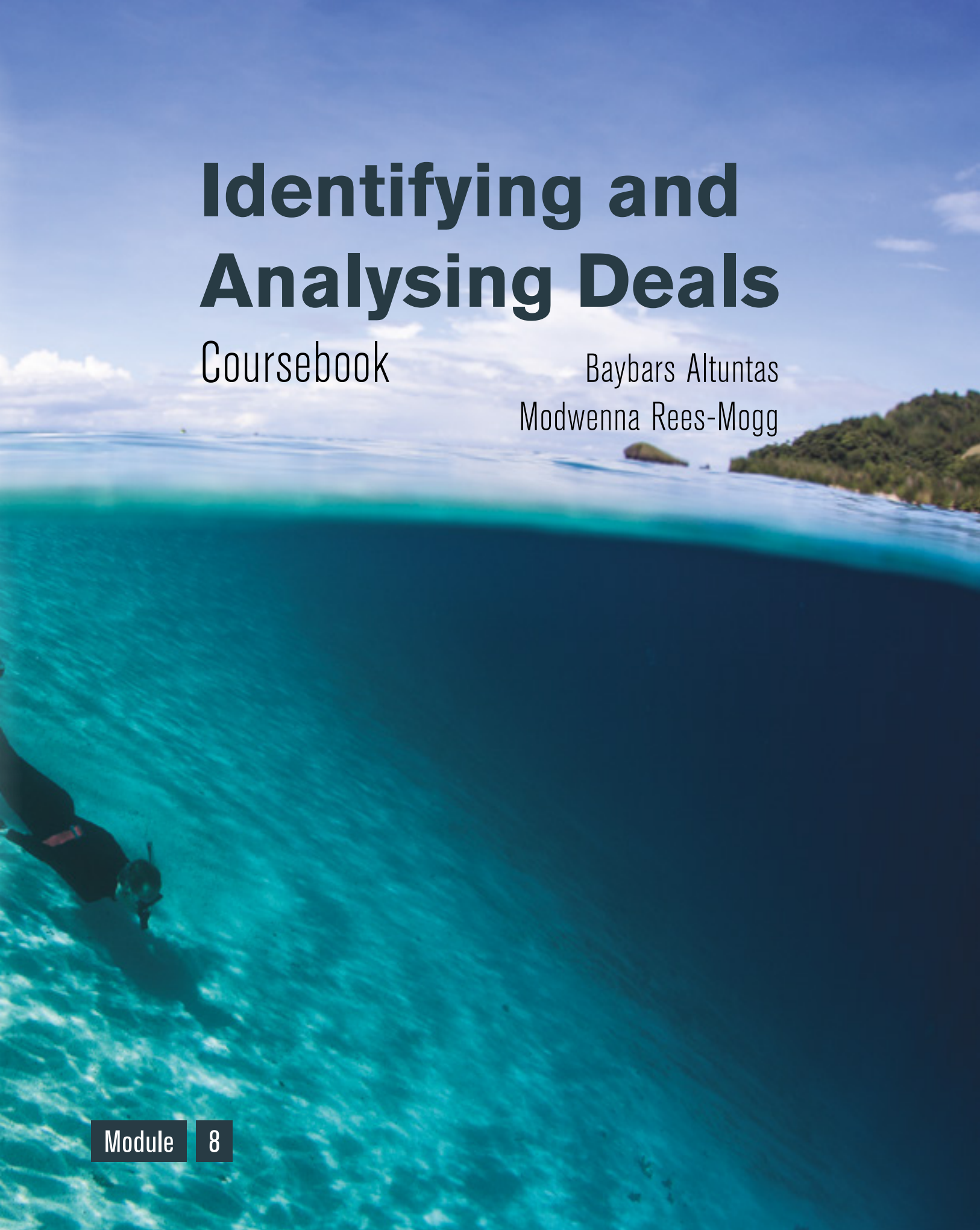

Identifying and Analysing Deals

Coursebook

Baybars Altuntas
Modwenna Rees-Mogg

Module 8

Identifying and Analysing Deals

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Identifying and Analysing Deals
Qualified Angel Investor Course Series Module 8

by Baybars Altuntas – Modwenna Rees-Mogg

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Introduction

Introduction

The Qualified Angel Investors Course is a complete course in angel investment that draws on a wealth of international experience. It covers all key issues associated with angel investing and can be used in a taught programme or for self-education. The material includes illustrative case studies, and each chapter finishes with a set of study questions and practical exercises. The course consists of five levels, from elementary to advanced, 22 modules.

Each coursebook /module is suited for university students, academics, professionals (including CEOs) from listed companies or anyone who has an entrepreneurial background, directors of business angel networks, acceleration and incubation centers and techno parks. It will also be useful for anyone who wants to set up a business angel network or create a business angel investment group; corporate executives that manage innovation and corporate ventures; early-stage capital fund managers; M&A and business development executives; family office investment managers; entrepreneurs who are raising capital or planning exit strategies; successful entrepreneurs interested in becoming an investor or advisor; members of boards of directors; policymakers wishing to encourage the creation of clusters of innovation in their region; service providers: attorneys, accountants, and consultants.

This coursebook, Module 8, describes the typical journey an angel investor undertakes in identifying and analysing deals. It explains the different types of investment pitches which an angel investor will see, how to interpret the pitch and what questions to ask. It also helps you to understand how to spot good business models. It has an extensive section on management teams and the issues to understand when making a decision whether or not to back them, including how to think about yourself as a potential member of the team.

We welcome your feedback and invite you to share your experiences.

Baybars Altuntas and Modwenna Rees-Mogg
June 2021

Summary

Identifying and analysing deals.

This chapter describes the typical journey an angel investor undertakes in identifying and analysing deals. It explains the different types of investment pitches which an angel investor will see, how to interpret the pitch and what questions to ask. It also helps you to understand how to spot good business models. It has an extensive section on management teams and the issues to understand when deciding whether to back them, including how to think about yourself as a potential member of the team.

Spotting deals – the first step

Most angel investors will come across deals in one of two ways. Either they will see an executive summary document, which is one to two pages of key information about the company, or they will see a live or video pitch made by the founders seeking funding.

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Most angel investors will come across deals in one of two ways. Either they will see an executive summary document, which is one to two pages of key information about the company, or they will see a live or video pitch made by the founders seeking funding. Before considering any deals however, angel investors need to understand the equity investment is usually an activity regulated by the local financial regulators who will have rules about how investment may be done.

Understanding the regulatory environment for doing deals

Angel investing has traditionally been seen by financial regulators as a very high-risk area of investment. Indeed, in some jurisdictions angel investing has only been given formally regulated framework in which to operate in the last two decades. In the UK angel investing was only formally regulated in the 2002 Financial Services and Markets Act. In the US angel investing is still only permitted by investors who have signed the appropriate High Net Worth or Sophisticated investor certificates.

The rules about angel investing are important as no-one wants people to do things that are outside the law. Specific areas of the law to think about include:

- How deals are presented to investors and by whom, and
- Who is giving advice to whom on the different aspects of the investment, for example, is anyone giving investment advice to the angel investor?.

Most angel investors know that the risks are high and that they may lose their entire investment if a business fails; the ones that work make up for the losses, but this may not be how the law or regulation sees it.

Most angel investors know that the risks are high and that they may lose their entire investment if a business fails; the ones that work make up for the losses, but this may not be how the law or regulation sees it.

Typically, the law will see each investment on a case by case basis and not as a whole portfolio. Angel investors need to operate in this framework and to understand that even if a deal is amazing, if it has not been presented to them in the right way the people showing to them could be in breach of important rules and regulations. If they do so, they will be able to invest with more confidence.

Many angel investment opportunities find their way to angel investors through informal channels – either because friends or colleagues introduce deals or from direct approaches by entrepreneurs. Angel investors should therefore make sure they understand the legal environment with which they may operate before even starting to look at deals and should take special care if they want to pass a deal to another individual. In some jurisdictions there are rules which restrict how deals are introduced and to whom they can be presented and if an angel engages in promoting deals in the wrong way they can be found and punished for operating illegally.

In some jurisdictions there are rules which restrict how deals are introduced and to whom they can be presented and if an angel engages in promoting deals in the wrong way they can be found and punished for operating illegally.

The executive summary/one pager

Assuming angel investment opportunities are being presented to you in the right way, the next step is to consider how you understand the different information you are given at each stage. Normally the first document an angel investor will see is the executive summary which can come in the form of a short document and/or a video pitch. Executive summaries, when presented as a document should be only one side of A4, hence the name "one pager." Typically they are packed with information and may therefore be in a very small font size (10pt or below). The video pitch will typically be 3 minutes or less and will make use of many different presentation styles ranging from an individual filming on their smart phone, presenting their investment deck silently to a fully fledged short film using top of the range production values. The advantage of a video pitch over a one pager is that it shows the investor clearly about the style and approach of the entrepreneurs generally, but particularly towards raising investment.

Normally the first document an angel investor will see is the executive summary which can come in the form of a short document and/or a video pitch.

The executive summary or video pitch will contain the following contents:

- The name of the company and contact details
- The amount of funding sought
- A summary of what the business does
- A table of summary financial projections, containing at least
  - Historical and future sales
  - Historical and future profits/losses
  - Cashflows
- Details of why the funds are needed
- Images or a description of the products
- Summary details of the main members of the team
- Quotes and statistics showing the levels of satisfaction and traction of the product with customers
- Perhaps some of the background about the company and what problem it was created to solve.

An executive summary does not contain enough information to make an investment decision; it is designed to encourage or "tease" the investor into finding out more. For this reason, it is often called a "teaser." It is important to remember that this

document is an advertisement for a fundraising and in some countries will need to be approved as appropriate by a regulated organisation. Be careful about teasers that have not been approved and ask yourself whether the information within it has been "spun" to attract your interest.

Once you have read the executive summary, it is a good idea to do some quick checks on the opportunity. Look at the website, check out the founders' profiles on LinkedIn and make sure the company is properly registered, if you decide to pursue the investment, consider how far the reality of what you find when you do this research is from the information you were given in this teaser.

The Vision Document or white paper

The Vision Document or "white paper" is an alternative way for an entrepreneur to present the information investors need. The concept of a Vision Document emerged on the back of academic white papers prepared by the research industry, which was then adapted to make it suitable to explain to investors about the investment opportunity. White papers are the usual mode of information transfer in the crypto-currency world.

Good vision papers have wide margins and a sensible sized font (11pt or higher). They use words succinctly and images and tables cautiously. They are normally 10-15 pages long.

This way of communicating a business to investors allows the entrepreneur to put more context around their plans when compared to a pitch deck or executive summary. In essence it could be seen as a summary business plan.

The investment pitch

With the arrival of online platforms promoting investment opportunities (including equity crowdfunding ones), the first pitch an investor sees can be either online or live.

Online pitches

Online pitches are usually 2-5 minutes long. It is important to remember that online pitches are very different from live pitches because they are carefully prepared over time and are designed to tell a story to encourage you to invest. Good video pitches will make excellent use of cinematography to paint everything in the best possible light. Some pitches will be deceptively "raw" but this does not mean they have not been very carefully designed to pique your interest.

Live pitches are the best way to get a quick understanding of the investment opportunity. They take two forms – the elevator pitch and the investment pitch.

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Live pitches are the best way to get a quick understanding of the investment opportunity. They take two forms – the elevator pitch and the investment pitch.

The Elevator Pitch

Elevator pitches are a 1-2 minute pitch by the founders to peak your invest in investing. A good pitch will convince you to follow up. It will include:

- 1 sentence which summarises the proposition: e.g. Airbnb's one liner was "Book rooms with locals, rather than hotels" (If this is "perfect", the investor should spontaneously ask a follow up question)
- After a pause, the entrepreneur will ask a question that resonates with what they are doing: e.g. "You find hotels cold and unfriendly, right?", which is designed to get you to say yes and thereby validate their proposition before they have really had to explain it. The question might also be educational which is designed to "help" the investor by providing a nugget of information
- The entrepreneur will then pause again to see if you ask for more information. If you do not spontaneously respond they may ask if they can send you a follow up email. If you do respond, they will talk some more about the problems they are solving.

Poor elevator pitches will be too rushed, address the wrong issues in the time allowed (for example talking about features rather than benefits of the product) and not give time for the investor to consider whether they want to hear more.

Poor elevator pitches will be too rushed, address the wrong issues in the time allowed (for example talking about features rather than benefits of the product) and not give time for the investor to consider whether they want to hear more.

If you hear a poor elevator pitch, but the idea is intriguing, it might be worth checking how experienced the entrepreneur is, before you dismiss it because of poor presentation skills. Some great entrepreneurs are very poor at presenting.

Equally a very good investor pitch might disguise a poor investment opportunity. Always find out who has trained the person making the pitch, as some networks will coach the entrepreneur beforehand. In this case the pitch may not represent the true picture. It's also worth noting that the pitch may be made by the marketing person (or indeed another person in the team who is good at presenting) rather than the founder. It is more common than one might think for the angel investor who has backed the founder to make the pitch himself.

You might find that you receive the elevator pitch presented in the form or words, via an email or messaging system such as LinkedIn.

The investment pitch

The investment pitch is the traditional way in which entrepreneurs invite interest from investors.

The investment pitch is the traditional way in which entrepreneurs invite interest from investors.

Pitch events range from investor evenings where around six pitches will be made, to pitch days when there may be dozens of pitches.

Investment pitches take many forms and can vary in timing from 5 minutes to 20 minutes, depending on where they are being made, to whom and how large the audience is.

Investment pitches take many forms and can vary in timing from 5 minutes to 20 minutes, depending on where they are being made, to whom and how large the audience is. Normally, the smaller the audience, the longer an investment pitch can be and the more pitches that are to be made, the shorter each pitch will be.

The structure of an investment pitch also varies from free form to very structured. Before you see an investment pitch, you should ask for clarification from the event organisers about how much they have helped the entrepreneurs to prepare. Some network managers and accelerators have a very formulaic approach and others just provide general guidance. It is important to understand who is helping the entrepreneur and how much input they have had into the pitch so that when you see it you have an idea how competent at a basic level the presenter is.

It is common at a pitch by the founders of internet and other tech companies to see them present in jeans, a t-shirt and trainers.

A live investment pitch is normally made by one or more of the founders. Depending on the style of the pitch and the time available, there may be one or more presenters. If there are lots of presenters it will tend to detract from the information being imparted, so using more than two presenters is normally discouraged.

How the founders dress for their pitch will vary from country to country and will also depend on the market they are operating in. It is common at a pitch by the founders of internet and other tech companies to see them present in jeans, a t-shirt and trainers. In more traditional markets, the entrepreneurs will use business dress.

The presenters typically support what they say with a pitch presentation.

The presenters typically support what they say with a pitch presentation. As they speak, the slides are turned to support what they are saying.

The pitch deck

The pitch deck is the document used by entrepreneurs to present to investors. It is normally created in PowerPoint or a similar presentation software package and may or may not be converted into a PDF so that people who receive it cannot edit it after receiving it.

Good pitch decks make clever use of images, charts and tables with limited use of words.

Good pitch decks make clever use of images, charts and tables with limited use of words. They should NOT be similar to a word document with long sentences and paragraphs. As a rule, a pitch deck should have 1 slide per minute of presentation time. As most pitches are between 8 and 15 minutes, this means most decks are 10-20 slides long.

The typical pitch deck covers the following areas

- The company name, logo, website and contact details
- A description of what the company does

- A slide on the management team (with hyperlinks to LinkedIn)
- A slide on the product/s and how it/they fit into their market
- A slide on the business model
- A SWOT analysis and/or USPs
- A slide on achievements to date e.g. awards and grants
- A slide on the competitor landscape
- A slide on why the company will beat the competition
- Summary financial projections
- A slide on the funds sought, how they will be used and, sometimes, the equity stake being offered. This slide may also cover what funds have already been raised
- A slide on the exit plan

If you want to see examples of the best pitches an internet search of Google videos will bring up lots of examples. It is worth doing this research before you attend your first pitch event so you get an understanding of what standard you should expect.

A good pitch will leave you with a good understanding of the opportunity and probably a clear idea whether you are interested in following up. A sign of your interest can be found in how many questions you want to ask.

An investment pitch should reflect the character of the entrepreneurs and the company itself. The pitch deck should use the company's branding and they style of language and the way the information is presented should also be consistent.

A good pitch will leave you with a good understanding of the opportunity and probably a clear idea whether you are interested in following up. A sign of your interest can be found in how many questions you want to ask.

After the pitch the event organisers will normally allow time for the audience to ask questions. If you have a question, you must decide whether to ask it in this open forum or wait until you can ask the entrepreneur quietly afterwards.

Normally the presenting companies will also have a stand in the room where the pitch is made, or nearby. They will man this stand before, during and after the pitch. At the stand they may have product literature, demos, the business plan, the information memorandum or subscription agreement and anything else that might intrigue you and therefore and encourage you to engage. One of the challenges investors face if an investment pitch is popular, lots of investors will be interested and it is not uncommon for queues to form. So, it may be hard to get time to speak to the entrepreneur alone on the day. If you are interested in a pitch, make sure you leave your details with the entrepreneur, so they can follow up and take theirs away, so you can get in touch with them.

Normally the presenting companies will also have a stand in the room where the pitch is made, or nearby. They will man this stand before, during and after the pitch.

The research report

If a company is being advised by a corporate finance house, you may find that it has arranged for a research report to be written which provides a third-party view of the

investment opportunity. These research reports come in many different forms. They can be a very useful additional source of information on the company and what it is planning to do. Typically, it will have more information on areas the business plan may not have covered such as an analysis of the market opportunity and competitive landscape. It may also include more detailed financial projections.

It is important to understand who wrote the report and who paid for it to be written. However even if the company has paid for the report to be written, it should not be dismissed.

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First contact with the entrepreneur – questions you should ask

When it comes to what questions should you ask an entrepreneur after you have seen the pitch, it is a question of balance. You need to obtain enough information to help you decide whether to proceed to due diligence, but should not try to undertake a full due diligence exercise this early on.

When it comes to what questions should you ask an entrepreneur after you have seen the pitch, it is a question of balance. You need to obtain enough information to help you decide whether to proceed to due diligence, but should not try to undertake a full due diligence exercise this early on.

One of the key reasons for asking a question is not just to get the answer but to see how the entrepreneur responds. He should respond with respect and give the best answer he can. If he cannot answer the question, he should either reply he does not know and will get back to you or ask you to come and see him later.

You can ask some questions in person on the day, but questions that require longer or more considered answers should be sent after the event. It is permissible to ask questions just because you are curious, even if you know you will not invest.

It is unhelpful to ask questions designed to trick the entrepreneur into making a mistake or make a fool of himself.

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These are some of the questions you could ask after a pitch

- What is the biggest threat to your business?
- What skills are missing from your team and how do you plan to fill them?
- What is your Plan B if Plan A does not work?
- What do your customers and suppliers say about you?
- Have you prepared low and optimistic cases for your financial projections? If so, what is the variance?
- How many more rounds of funding do you think you will need? When will you need them and why?
- What vulnerabilities are there in your supply chain?
- How do you deal with regulatory and data privacy issues?
- What is your marketing strategy and how will you resource the activity and costs?

Understanding the investment opportunity

Understanding whether the business is likely to succeed, and perhaps more importantly, whether it will succeed with your money and support so that you get a positive return, is the true skill of a great angel investor.

Your ability to understand the opportunity will depend on your experience and knowledge, including understanding what you do not know, and your willingness to back the company when there are unknowns that cannot be answered before you invest.

Your ability to understand the opportunity will depend on your experience and knowledge, including understanding what you do not know, and your willingness to back the company when there are unknowns that cannot be answered before you invest.

You can break down the understanding of the opportunity into the following areas:

- The management team
  Have they, with or without your support, the ability to deliver on their plan, have the resilience to deal with the problems that will arise, the ambition to succeed and the flexibility to change when necessary? Will they be able to step aside to allow someone better to take over if required? Will they listen to advice and act upon it?

- The market
  Is the market opportunity large enough that this company can achieve its market share requirements and financial objectives, even if the market becomes crowded with competitors? Will the company be squashed out of the market by a larger competitor too easily? Do the customers need or want the product? To what extent is it a must have?

- The financial projections
  Do the financial projections use assumptions that are plausible and validated? Are the profit margins within industry norms? Do they consider seasonality, inflation, an economic or market downturn?

- Milestones and KPIs
  Are the company's milestones sensible and achievable? Are the KPIs the right ones to be using? Are they relevant to this company in particular?

- Customers vs Users
  Does the company have customers (people or companies who are paying them) or users (people or companies that like using their free service)? Does it intend to build a large volume of users with the plan to convert a percentage of them to customer status? If it does, what percentage does it expect to convert? What is the lifetime value of the customers? Do they just make a one-off purchase or do they become a regular customer? If they are a regular customer will they be a subscriber paying monthly or annually for the service or products or will they allow the customer to purchase when they wish?

- Funding
  Is the company raising the right amount of funding for its needs? Will the company have enough working capital to get to a positive cash flow or raise more money?

- Investors
  Does or will the company have the right investors to help it succeed. Can these investors fund it through to cashflow breakeven and/or to exit?

As a rule, the financial projections will be wrong and will not consider "real life." They are likely to be far too optimistic, but it is relevant to consider them as they reflect level of ambition of the founders and their core competencies as preparing forecasts.

If you have a good knowledge of business generally you should be able to answer many of these questions quickly. If you have specific industry knowledge, that will be an even bigger advantage.

As a rule, the financial projections will be wrong and will not consider "real life." They are likely to be far too optimistic, but it is relevant to consider them as they reflect level of ambition of the founders and their core competencies as preparing forecasts. Apparently implausibly high projections are not necessarily worthless or an indication of the weakness of the management team. However, if the format or structure of the financial projections is terrible, this is a worrying sign. All founders should have a good grip of how financial projections are created and the variables on which they are based.

It is a mistake to ignore the financial projections and you should reject an opportunity immediately if there are no financial projections for the simple reason that investing is about making a financial return. If the founders do not have a handle on the numbers, they will not be able to drive a financial return.

Understanding early on how the company will measure itself is particularly important for companies that may take some time to get to revenue or profitability. Milestones and KPIs are the way a company can control itself both before and after it is making revenue.

Understanding early on how the company will measure itself is particularly important for companies that may take some time to get to revenue or profitability. Milestones and KPIs are the way a company can control itself both before and after it is making revenue.

In terms of funding, one of the biggest problems for angel backed companies is when they fall into the Valley of Death – not yet able to survive on the profitable revenue from their customers, but not having got far enough in their development to receive more funding to see them through. Therefore, if the company is not raising enough money or has the wrong investors, it will almost certainly fail, regardless of how good the product is or whether the management team are brilliant as there will not be enough cash to pay the bills before reaching profitability.

Understanding the business model

A business model is the description of how a business makes money and delivers value to customers at an appropriate cost.

Essentially a business model is the description of how a business makes money and delivers value to customers at an appropriate cost. A successful business model needs to sell things to customers at more than the cost it takes to make them and to cover all the overheads needed to support the production and sales process.

There are a variety of business models. Most business models are not new, but instead, adapt or improve existing business models to give the company a competitive advantage. If the business model is wrong the company will fail. Lots of companies believe they have a disruptive business model, but this is very rare indeed. Usually disruptive business models are simply more efficient than previous business models and use technology to achieve these efficiencies.

These are the main types of business model:

- Advertising
  The advertising industry has been disrupted by the arrival of the internet which has made it larger, faster and online, but essentially it is as it always was. Companies provide content to the user (sometimes for free or sometimes by subscription) and receive income from advertisers who want to place their adverts near to the content so that the audience sees it.

- Affiliate
  Affiliate business models are like advertising. However, it uses links and accepts commissions on any business done by the advertiser rather than taking an upfront payment for the advert

- Broking/agency
  Broking models are when the business connects buyers and sellers and takes a fee from one or both sides for setting up the transaction.

- Concierge/customisation
  This is when a business takes an existing product or service and adds value to it. The customer pays for the service and for the added value elements

- Crowdsourcing
  This business model involves the business sourcing products or services from one group and then sells the products or services for others. It collects the money from the buyer and then gives a percentage to the producer

- Direct selling/disintermediation
  This is a business model when the company sells directly to the end user without using middlemen or agents

- Fractionalisation
  This model involves sell part shares in something to many people. The value from selling the combined shares is greater than if the product or service was just sold to one person

There are a variety of business models. Most business models are not new, but instead, adapt or improve existing business models to give the company a competitive advantage. If the business model is wrong the company will fail. Lots of companies believe they have a disruptive business model, but this is very rare indeed. Usually disruptive business models are simply more efficient than previous business models and use technology to achieve these efficiencies.

- Franchise
  A franchise model sells the "recipe" for a successful business model (and sometimes associated services and products that will be delivered through that business) to someone who wants to run a business like the one being offered. Franchise models sell everything from branding and business knowhow, to property and equipment leases and even the goods being sold

- Freemium
  With a freemium business model, you give away products or services at no cost to customers and then upsell premium features. Usually the basic service has limited functionality and is designed to drive users towards upgrading to the premium service. This is a very common business model for internet-based businesses

- Leasing
  A leasing model is when you lease or rent out products your business owns to third parties for a fixed period. The customer never owns the product outright and must return it at the end of the lease, at which point the business can release it or sell it

- Low touch
  This is a business model where the full product or service is not provided, and the customer must do some work himself to finish the product so they can use it. A good example is flatpack furniture

- Marketplace
  Marketplace business models are very popular on the internet, but are as old as time, as street markets operate a marketplace model. They create market efficiencies for buyers and sellers by encouraging everyone to meet in the same place at the same time. Income can be earned from renting pitches in the marketplace to sellers and/or earning a commission on transactions completed within the marketplace

- Pay as you go
  A pay as you go model is when the customer only pays for what they need, but in advance. The model tends to tie customers into repeated small purchases, and they pay a premium for the convenience of not having to make a large payment up front

- Razor blade
  This is a model when the user buys a product, but must buy additional products or services repeatedly so that they can use the original product properly. The business selling the product and repeat items, may sell the original product at

breakeven or even a loss to encourage adoption, but will make a very high margin on the ancillary products or services

- Reverse razor blade
  This is when the original product is sold at a very high price and the essential ancillary products or services are sold at a very low price

- Reverse auction
  This is a model when sellers compete to bid their lowest price to a buyer

- Subscription models
  This is when the buyer subscribes and makes regular payments to access a product or services. As with marketplaces it is a very popular model with today's entrepreneurs.

Within any single industry, there tend to be business models that work or don't work. Therefore, it is essential to understand early on whether the business model the company is adopting is in line with industry norms or whether it is deliberately disruptive. If you adopt the wrong business model in a rapidly changing industry, the business is certain to fail. However, in some mature industries it can be possible to apply a new business model, particularly if it will deliver better value for the customer.

Within any single industry, there tend to be business models that work or don't work. Therefore, it is essential to understand early on whether the business model the company is adopting is in line with industry norms or whether it is deliberately disruptive. If you adopt the wrong business model in a rapidly changing industry, the business is certain to fail. However, in some mature industries it can be possible to apply a new business model, particularly if it will deliver better value for the customer.

It is very common for entrepreneurs to say they are adopting a disruptive business model or are disrupting an industry. There is an important distinction between the two. Disruption which is achieved by using a different business model is not the same as disruption achieved by having a better product or service.

Business models have very different financial profiles. The best business models for angel investors are those where customers pay cash up front for the product or service, ideally before it needs to be delivered. This means the customer shares the cost of funding the business with the investors.

Business models which require considerable capital expenditure before the product or service can be delivered at all tend to be unattractive as an investment opportunity at an early stage. However, later in the business cycle, once the capital expenditure requirement is satisfied, these can make very attractive opportunities.

The profit margins for a business can vary considerably within each type of business model. So, you need to pay attention to this as well as the model itself.

Lastly, many angel investors like business models that sell the "picks and shovels rather than the mine". By this we mean, within any one industry angel investors

Lastly, many angel investors like business models that sell the "picks and shovels rather than the mine". By this we mean, within any one industry angel investors should seek out businesses that sell products or services that everyone will need repeatedly (and therefore buy again and again) rather than the business that offers a high cost product, which has a infinite life, which customers will buy only once.

should seek out businesses that sell products or services that everyone will need repeatedly (and therefore buy again and again) rather than the business that offers a high cost product, which has a infinite life, which customers will buy only once. This is true even if the overall value of the latter is higher than the former and the latter has physical assets that can be sold on afterwards.

The exception to this rule is a business which sells a high cost product which needs servicing or which, to work, needs a repeat purchase element. For example, a hospital monitor which produces the results from its tests on paper. In the case of expensive products that need servicing, the profits can be made from servicing agreements. In the case of products with a repeat purchase element, the profits can be made from the repeat purchase, with the first purchase sold in the full knowledge that it will be loss-making.

Understanding the market opportunity

Companies operate in both geographic markets and in sectors. They may operate in only one market early on e.g. in their local country or even internal region, but if you are going to make money out of an angel investment, the company will have to expand geographically at the very least, even if it only sells one product or service. If it only has one product or service, it will have to sell it into different sectors (in terms of the sectors its customers operate in), to grow large enough to be attractive to a buyer or in an IPO.

A common phrase bandied around by entrepreneurs tends to begin "The market opportunity for my business is…" But what does this mean?

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Companies with multiple products or services may sell each one into different geographic markets and/or sectors. Or may sell everything into all markets.

The market or sector opportunity can also be segmented by the types of customer a company is targeting – are they targeting only Fortune 500 global customers where there may only be a few likely buyers or, at the other extreme, are they targeting retail customers where the potential is millions or billions?

Understanding the supply chain

It is very important for an angel investor to understand how the company they are considering investing in, fits into their industry supply chain. A typical supply chain comprises:

OEMs

OEMs or an original equipment manufacturers use other companies to create a supply chain for their products and services rather than producing them from raw materials in their own facilities or factories

Tier 1 suppliers
Tier 1 supplier may be large global or smaller corporates, who serve OEMS

Tier 2 suppliers
Tier 2 suppliers sell their products and services to Tier 1 suppliers

Tier 3 suppliers
Tier 3 supplier s sell their products to Tier 2 suppliers.

Entrepreneurs tend to use big numbers when they talk about the market opportunity and to refer to industry or geographic research reports with talk of markets worth Euro billions. However, for a very small company (social media platforms being the exception), trying to get a decent market share in a big market is going to be a very big challenge and if it is to be done quickly the costs of achieving that growth could be immense.

Inexperienced entrepreneurs also tend to think in terms of the percentage market share their company will achieve. If the market is worth €1bn, then a 5% market share, which may seem achievable and therefore underpin the entrepreneur's dreams, is, in practice, €50m. For a start-up to get to this level of sales is going to take some hard work.

Therefore, when an entrepreneur talks about the market opportunity or gaining a x% market share, you need to look deeply into what this really means.

These are steps to take:

- Uncover whether the market really is the market that the company will be selling into.
- Find out up to date the market data is (check the source) and then to consider what the current situation in that market is.
- Find out how the market is performing – is it growing, stagnant or shrinking?
- Find out what is happening with the major and minor players in the market – are they dinosaurs or highly innovative? Don't forget, if they are dinosaurs, they might buy the business and so might an innovative one. How competitive is the market both in terms of numbers of players but also in pricing?
- Look at size and nature the segments of the market – is the entrepreneur attacking the right segments with their product or service?

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Remember, most customers are probably operating satisfactorily in the current market conditions, so one of the biggest issues is whether the market not only wants, but really needs the product or service such that it will be a "must have" purchase.

- Consider the speed of adoption in the market from customers and the length of the sales cycle. For example, will the opportunity have disappeared before the company is ready to go to market?
- Check out parallel or similar markets to see what opportunities might be available.

When it comes to considering the sectors an entrepreneur is entering, this requires just as much, if not more research. And remember, most customers are probably operating satisfactorily in the current market conditions, so one of the biggest issues is whether the market not only wants, but really needs the product or service such that it will be a "must have" purchase.

Understanding the management team

Most early stage investors, whether angel investors or venture capitalists, believe that it is the management team you back more than another other aspect of the business.

Research into what makes a great management team, about personality types and so much more is a favourite topic for everyone from academics to businesspeople to your own friends and colleagues. Most early stage investors, whether angel investors or venture capitalists, believe that it is the management team you back more than another other aspect of the business. "Backing an A grade team with a B grade product is always better than backing a B grade team with an A grade product" is the common mantra.

Particularly for a small business, understanding the strengths, weaknesses and holes in the management is vital because it will be virtually impossible to replace them in the early days. Angel investors do not invest to take over the company themselves.

Particularly for a small business, understanding the strengths, weaknesses and holes in the management is vital because it will be virtually impossible to replace them in the early days.

Management teams in the typical business that is seeking angel investment are rarely perfect and are almost certainly incomplete. Whilst this represents an opportunity for you to lend some support, if the team is too weak, and more importantly if the founders do not have the ability to hire the right people to help them, the business will never get large enough to be saleable. Therefore, you must look at the management team from two different angles.

- The make-up of the team currently and how they share out the current workload
- The personalities and the skills of the individuals and how this will impact on what they do.

These are the key roles the members of the team will have to fulfil.

- Vision and product creation
- Entrepreneurial mindset
- Project co-ordination
- Product development and implementation, including delivery to the client
- Marketing and PR
- Sales

- Finance – from pricing to accounting
- Legal and company secretariat
- HR
- Dispassionate oversight.

It is important to understand how hard the entrepreneurs have been working to date and how much energy and commitment they will have going forward. Completing a round of finance is just the start of a much longer journey and often, entrepreneurs are already exhausted before they start.

So, you need to understand:

- How much effort has already gone into the business and how much more is needed?
- How the entrepreneurs work under pressure?
- Are they resilient enough to see problems coming and then overcome them when they arise?
- How much time they will give to the business, especially in the context of their "outside work" commitments such as family? Are weekends work time or family time or do they mix up work and family life across a week?
- Whether they are early birds or night owls? And are they in sync with each other?
- How well the founders know and trust each other?
- Can they let go? When do they want to let go?
- Are they prepared to hire people better than them into key roles in the business?
- Are their objectives for exit aligned with each other and with you?
- How much business and relevant industry experience do they have?
- How large is their network and is it useful to the business?

Understanding the individual personalities of the founding team

There are many ways of assessing people's personalities. Myers-Briggs, which is a very popular analytical tool, has 16 different ones. It is very commonly used in business. As an investor you are looking for a balance of personality types and to make sure the roles, they are fulfilling are suitable for the personality they have.

As a rule. entrepreneurs are good at multi-tasking and their emotional commitment to the business will enable to overcome their inherent flaws, but they will not be able to do this indefinitely.

However, there are 9 common personality types.

This list, derived from www.The.BalanceCareers.com, provides a good explanation https://www.thebalancecareers.com/the-9-personality-types-of-entrepreneurs-2951215

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What's Your Personality Type?

Use the questions on the outside of the chart to determine the four letters of your Myers-Briggs type. For each pair of letters, choose the side thet seems most natural to you, even if you don't agree with every description.

1. Are you outwardly or inwardly focused? If you:

- Could be described as talkative, outgoing
- Like to be in a fast-paced environment
- Tend to work out ideas with others, think out loud
- Enjoy being the center of attention

then you prefer

E

Extraversion

- Could be described as reserved, private
- Prefer a slower pace with time for contemplation
- Tend to think things through inside your head
- Would rather observe than be the center of attention

then you prefer

I

Introversion

2. How do you prefer to take in information? If you:

- Focus on the reality of how things are
- Pay attention to concrete facts and details
- Prefer ideas that have practical applications
- Like to describe things in a specific, literal way

then you prefer

S

Sensing

- Imagine the possibilities of how things could be
- Notice the big picture, see how everything connects
- Enjoy ideas and concepts for their own sake
- Like to describe things in a figurative, poetic way

then you prefer

N

Intuition

ISTJ	ISFJ	INFJ	INTJ	ISTP	ISFP	INFP	INTP
Responsible, sincere, analytical, reserved, realistic, systematic. Hardworking and trustwortly with sound practical judgment.	Warm, considerate, gentle, responsible, pragmatic, thorough. Devoted caretakers who enjoy being helpful to others.	Idealistic, organized, insightful, dependable, compassionate, gentle. Seek harmony and cooperation, enjoy intellectual simulation.	Innovative, independent, strategic, logical, reserved, insightful. Driven by their own original ideas to achieve improvements.	Action-oriented, logical, analytical, spontaneous, reserved, independent. Enjoy adventure, skilled at understanding how mechanical things work.	Gentle, sensitive, nurturing, helpful, flexible, realistic. Seek to create a personal environment that is both beatiful and practical.	Sensitive, creative, idealistic, perceptive, caring, loyal. Value inner harmony and personal growth, focus on dreams and possibilities.	Intelectual, logical, precise, reserved, flexible, imaginative. Original thinkers who enjoy speculation and creative problem solving.

ESTP	ESFP	ENFP	ENTP	ESTJ	ESFJ	ENFJ	ENTJ
Outgoing, realistic, action-oriented, curious, versatile, spontaneous. Pragmatic problem solvers and skillful negotiotors.	Playful, enthusiastic, friendly, spontaneous, tactful, flexible. Have strong common sense enjoy helping people in tangible ways.	Enthusiastic, creative, spontaneous, optimistic, supportive, playful. Value inspiration, enjoy starting new projects, see posential in others.	Inventive, enthusiastic, strategic, enterprising, inquisitive, versatile. Enjoy new ideas and challenges, value imperation.	Efficient, outgoing, analytical, systematic, dependable, realistic. Like to run the show and get things done in an orderly fashion.	Friendly, outgoing, reliable conscientious, organized, practical. Seek to be helpful and please others, enjoy being active and productive.	Caring, enthusiastic, idealistic, organized, diplomatic, responsible. Skilled communicators who value connection with people.	Strategic, logical, efficient, outgoing, ambitious, independent. Effective organizers of people and long-range planners.

3. How do you prefer to make decisions? If you:

- Make decisions in an impersonal way, using logical reasoning
- Value justice, fairness
- Enjoy finding the flaws in an argument
- Could be described as reasonable, level-headed

then you prefer

T

Thinking

- Base your decisions on personal values end how your actions affect others
- Value harmony, forgiveness
- Like to please others and point out the best in people
- Could be described as warm, empathetic

then you prefer

F

Feeling

4. How do you prefer to live your outer life? If you:

- Prefer to have matters settled
- Think rules and deadlines should be respected
- Prefer to have detailed, step-by-step instructions
- Make plans, want to know what you're getting into

then you prefer

J

Judging

- Prefer to leave your options open
- See rules and deadlines as flexible
- Like to improvise and make things up as you go
- Are spontaneous, enjoy surprises and new situations

then you prefer

P

Perceiving

Source: Myers-Briggs

- The Improver

Improvers want to make the world a better place. They have high moral standards and work on noble causes. With high integrity and ethics, they find it impossible not to run their businesses to the highest standards and ethics. Improvers make excellent product developers and are good at providing oversight (even if it is not dispassionate).

Improvers want to make the world a better place.

Improvers may burn out from their pursuit of perfection, may be overly critical of those around them, including investors and customers, and may put principles before profit.

Improvers need to mix with people who understand their high standards and will help them to build a business that is successful.

- The Adviser

Advisers love helping their customers overall, even if this means the relationship is not profitable to them in terms or time or money. Advisers used in the right way make excellent salespeople. In doing everything to please their customers they will deliver excellent levels of customer satisfaction but may miss their own, their team's and their business's needs. Whilst advisory businesses can be very profitable on paper, in fact the unaccounted and unpaid workload if properly accounted, would make the business unprofitable.

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Advisors need help from people who keep the business operations grounded if they are to scale. They probably will not place high levels of value on areas like PR, the sales pipeline or even billing so long as the current customers are delighted. Advisers can burnout as they do not look after their own needs.

- The Superstar

We have all heard of or know Superstar founders. Superstars build businesses through the charisma and high energy of their personal brand. Their competitive spirit makes them workaholics, impatient of weakness, willing to change on a whim. They make great CEOs in the early days, but can be terrible leaders once the business is at scale and may need to be taken away from day to day operations.

Superstars build businesses through the charisma and high energy of their personal brand. Their competitive spirit makes them workaholics, impatient of weakness, willing to change on a whim.

Finding it hard to take a break or leave things along, these workaholics can burn out and drive their colleagues distracted from the work they create.

Superstars need to trust if not love the people who help them, and they find this difficult. They find it easy to be, as they see it, betrayed, so staff may turn over quickly. Most of all they need to respect the people who they work with.

- The Artist

Very creative artists tend towards the creative industries but can also somewhat unexpectedly be found in technical industries. If so, they will be in the lab inventing something. They are highly intelligent and innovative and "can see around corners."

Artists suffer from a need to deliver perfection and may be emotionally vulnerable. Feedback must be delivered to them in a sensitive way. If their creative genius fails them, everything might stop. They will be less interested in their customer unless he sees what is being offered as perfect.

Artists need to surround themselves with practical people who will deliver their vision and kind people who will buoy them up.

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- The Visionary

Everyone loves a Visionary founder. They see a future which many others cannot envisage. Visionaries drink facts like others drink water and process the information at an incredible speed.

Everyone loves a Visionary founder. They see a future which many others cannot envisage. Visionaries drink facts like others drink water and process the information at an incredible speed. As a result, their vision will always be developing. Visionaries can also see disaster ahead, for which they are very useful so long as it does not stop the company from taking reasonable risks. They are highly articulate – if not in words, then in pictures or actions.

Founders with this personality type do not make good day to day leaders or salespeople. One would not trust them with a "boring", repetitious operational role, but as a figurehead in marketing and PR and as someone who will take a company to heights never achieved, they are perfect.

Visionaries will only ever really love other visionaries, but they will respect and listen to people who can help them to deliver their vision.

- The Analyst

Analysts like to solve problems – systematically. So, they love to set up businesses in areas where there is a lot of technical complexity. They can over-invent or over-process in their desire to get a perfect solution. They will never entirely trust someone else's findings, although they may accept it.

Analysts can suffer from analysis paralysis or and may struggle when the business needs to get creative to overcome a challenge. They may not act with speed.

Analysts need people around them who they trust and who will leave them to do their job until it is finished.

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- The Fireball

We all want to work with Fireballs who are lively, energetic and cannot see a problem – only an opportunity. They drive their team hard – it will be great fun, but exhausting. Customers and suppliers will always feel temporarily energised but may get back to their own offices and feel their concerns have not been addressed. Fireballs are not interested in bureaucracy.

Problems arise for Fireballs when the impulsive behaviour causes a problem. They may be indiscrete on social media or in public. They may not fully understand how to behave towards their staff.

Fireballs need to mix with people who are good at business planning and can bottle their enthusiasm to bring out at the right time.

Problems arise for Fireballs when the impulsive behaviour causes a problem. They may be indiscrete on social media or in public. They may not fully understand how to behave towards their staff.

- The Hero

Heroes are amazing. Perhaps sometimes too amazing for others to cope with. Thus, whilst they may lead, others may not challenge them soon enough and disaster can strike. But they will get the business to the summit of its ambition and are good at completing and finishing. Heroes suffer because no-one believes they can be wrong. So, they can start to have levels of self-belief that are unacceptable or even dangerous to the company. They can use force (which comes in many forms) to get what they want and may not worry who they squash on their way.

Heroes need a team that listens and will support them. In return they will be incredibly loyal.

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- The Healer

Healers love to look after everyone (except themselves on occasion). So, they take in interest in everyone and every aspect of the business from suppliers to staff to customers. They will build harmonious businesses with generous staff policies. They will survive and thrive because they are detail people and good at listening and then acting. They tend not to overreact if something goes wrong.

Healers love to look after everyone (except themselves on occasion).

The challenge for healers is they find bad things hard to handle and this can be disabling. They may also not be very profit driven.

Healers need people around them who can deliver the practical aspects of the business from planning to delivery, so they can add the special extra dimension that will take the company from ordinary to extraordinary.

Understanding how you will fit into the team

Some of the roles active angel investors take.

• Mentor or coach
These are separate activities – as a mentor you will be giving active advice based on your experience. As a coach you will be encouraging the entrepreneur/s to improve through their own learning and application of what they understand. These types of roles require you to remain dispassionate.

• Operational
Maybe you can fulfil a role e.g. finance or sales. If you are going to undertake this type of role you will have to become part of the team. You may well go native.

• Investor Director
This is a role where you represent your own and the other investors' interests. It is most likely to put you in confrontational role with the entrepreneurs.

• Champion
As a champion your role will be to help the company remotely – introducing suppliers and customers who will do good business with it.

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Understanding who is founder, employee, adviser or consultant

When you are presented with details of the management team, it is vital that you understand the real nature of the individuals' roles in the company. It is very common for entrepreneurs to present you with a management team that looks great on the surface but when you look deeper all is not as it seems.

Entrepreneurs are masters of the art of drawing resources into the business on whatever terms it takes. So, you need to understand the contractual and emotional commitment of each individual and what each person's objectives are, both in the short-term and the long-term. A good place to start is to find out how much equity investment (either in the form of shares or share options) each person has.

You also need to have a look at the second tier of people involved in the company. This may be employees, but do not ignore the fact that members of the founders' families or their friends may be helping in the background. Remember to find out if there are any arrangements or promises of payment in cash or equity related to these arrangements.

The best way to understand the management team is to spend time with them, ideally onsite at their offices. It is also important to connect with them in unusual

situations – late at night for example, so you see how they react with you and with each other. Make sure you do your research and make sure what they say and what they promise is true. It is not unfair to behave slightly differently on some occasions so you can see how they react. Perhaps be a bit cold one day and then very warm and friendly on another occasion. If there are several angel investors looking at the deal it can be worth playing good cop/bad cop, which will also help you see how they react in different situations.

The best way to understand the management team is to spend time with them, ideally onsite at their offices.

What makes a good team structure?

Depending on the size of a company, the company structure may be very different. If there are just two founders (with or without some personnel support), the structure will simple and the workload should be evenly split between the two of them.

Seed stage structure

The challenge for such a small management team will be getting all the work done. Understanding the relationship between the two founders is crucial and you will also need to understand the long terms levels of commitment in terms of money (or salary sacrifice), time and emotional energy each person is putting into the project. This may be uneven. If you invest in this management structure the challenge will be to stay even-handed with each of the founders and not to have a favourite.

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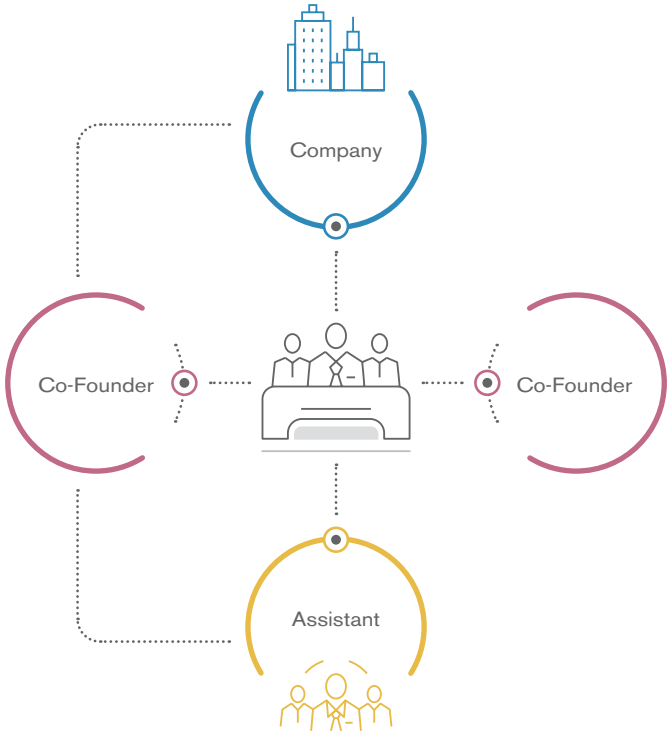
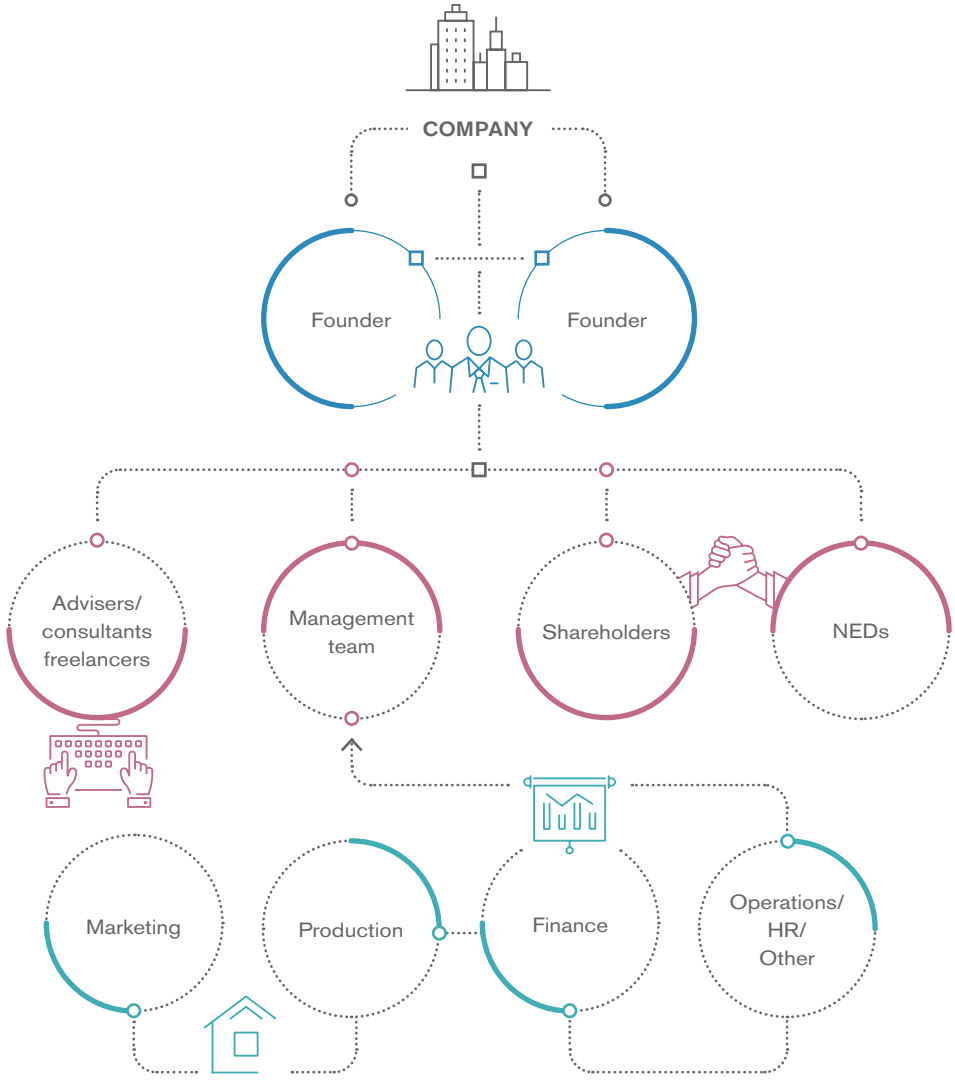


Start-up stage structure

Once a company is in start-up phase the team will be larger and will comprise a multitude of people helping it to grow. Areas to study include how the advisers, consultants and freelancers are helping and on what terms they are working; which roles are being performed by different members of the management team and how well they engage with the founders; who the investing shareholders are and what their relationships are with the founders; and if there are non-executive directors, what these people do and on what terms.

When a company gets to growth stage the team will be much larger. Indeed, your investment will probably be used at least in part to pay to hire experienced people to fill many of the key roles.



Growth stage structure

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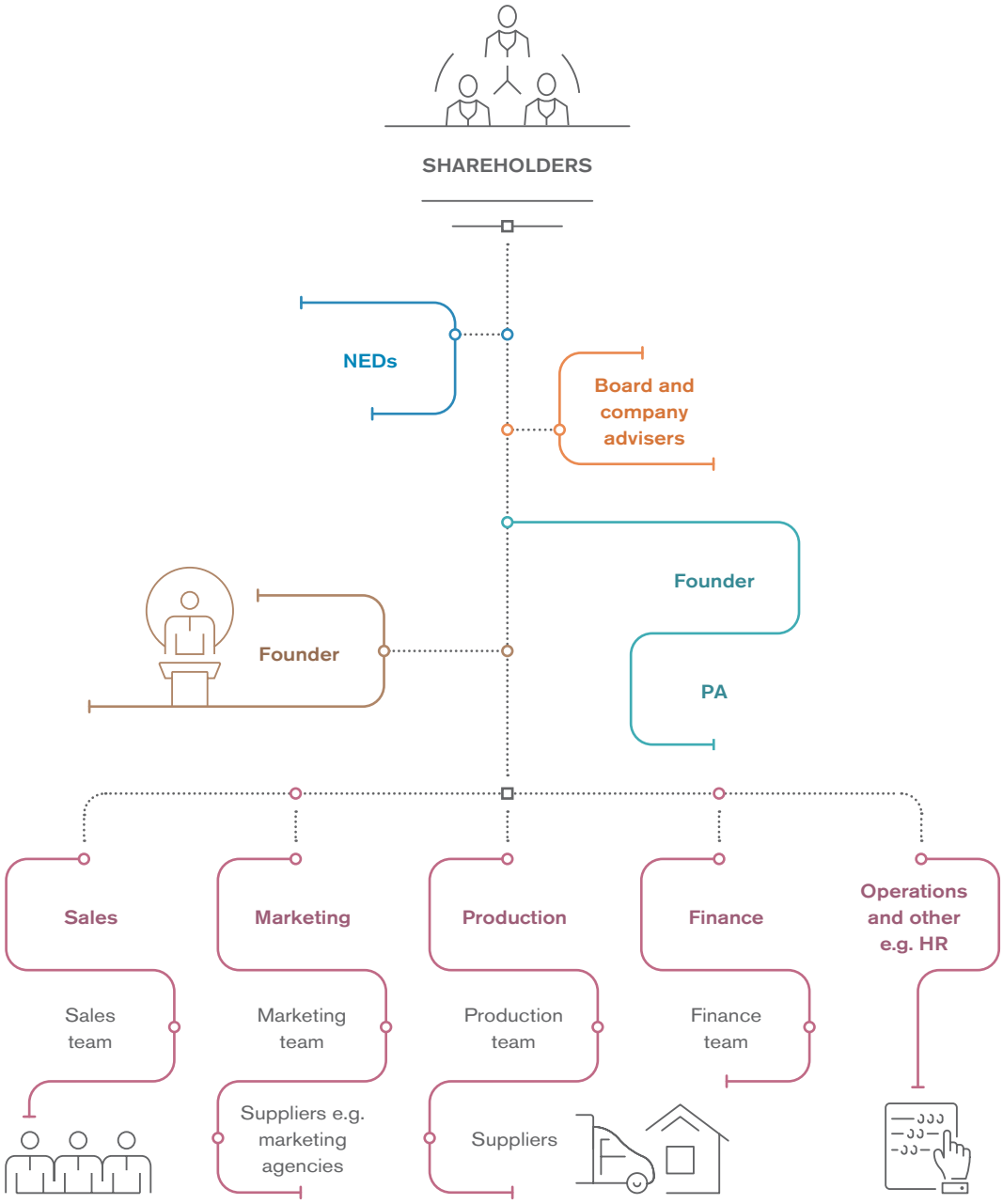

- Who is on the board (and who wants to be on the board)?
- Who really runs the company, is it still the founders or has an executive management team taken over? What roles do the NEDs have?
- Who are the "key people" without whom the company would flounder or even fail?
- Who is in the second tier of management and can they be groomed to take a more senior role in the future, or will they reach a ceiling and then leave?
- Who controls the finances including control of the company's bank account?

- Whether there are appropriate checks and balances in the operation to make sure that areas such as fraud can be identified?
- What reporting systems are in place?
- How is information being shared and with whom?
- Whether the human resources are allocated appropriately within the company e.g. is the board too large; are there enough people in support functions so that those in operational roles can optimise their time?
- What opportunity there is to use technology solutions rather than people to deliver solutions?

When a company is in growth stage, it is less likely that there will be a "job" for you in the management of the company, but there will be opportunities to provide advice and perhaps taking on the role of a Non-Executive director.

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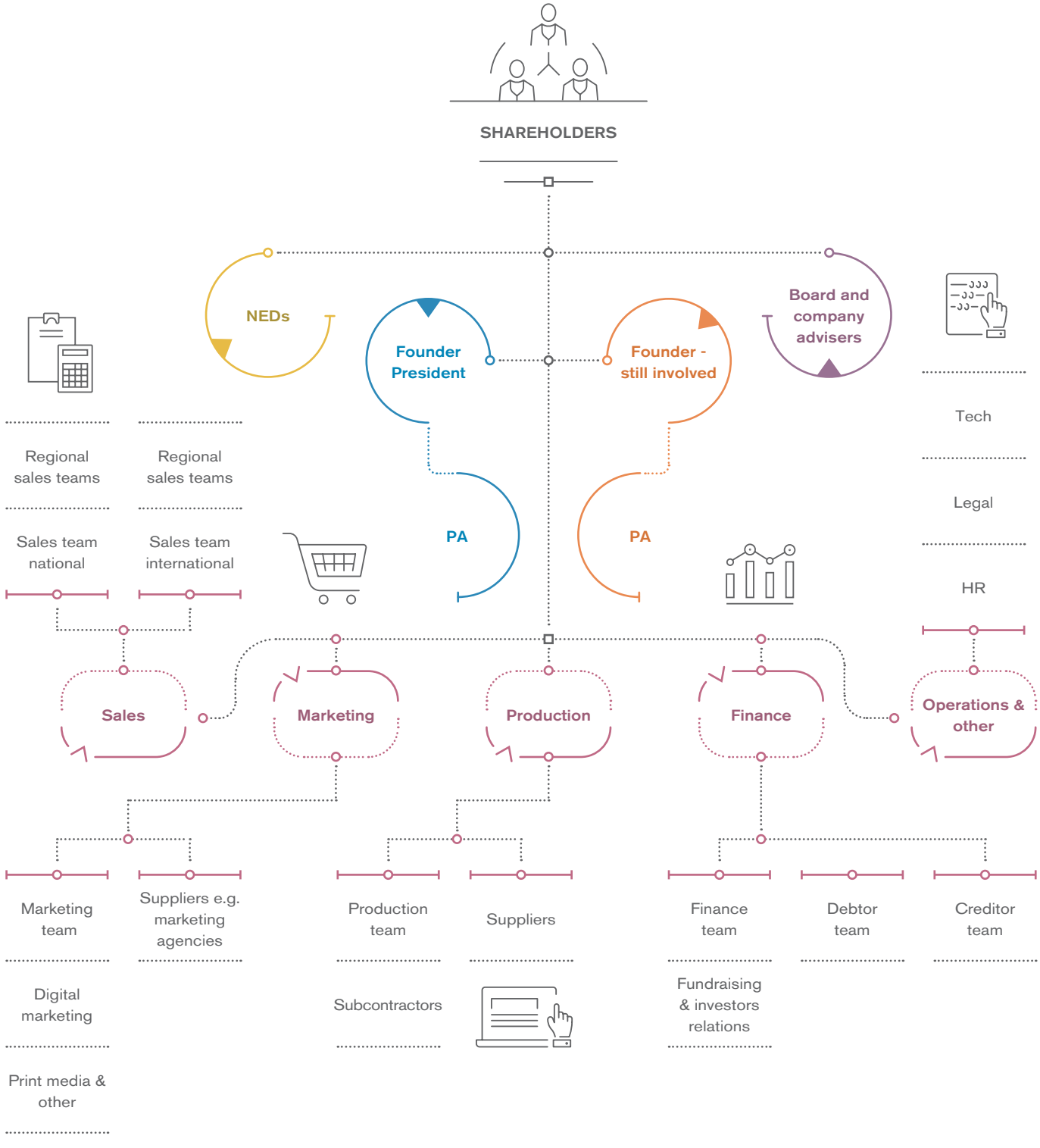
By the growth stage, companies must have key things in place, such as proper IT systems which are robust enough to cope with growth; standardised agreements for everything from sales to employment contracts and strong financial and financial projection tools and systems so that good reporting is the norm.

Scale up stage structure

Scale up stage means management complexity. Key areas to understand include:

- What role the founders are now playing? Has one person stepped aside to a role such as President Emeritus or Non-Executive Chairman or perhaps moved back to doing the original job they loved back "in the lab" doing product development? How much power to they have at shareholder level?
- What are the ambitions of the operational management team? How destructive will it be if they leave to work for a competitor?
- Who is responsible for strategy and are changes being implemented effectively?
- Are the right systems and controls in place?
- Who is looking after the finances?
- Who challenges the management team and are they effective in their roles?
- What support are the key people receiving in terms of mentoring and training?
- Who is responsible for achieving an exit for the investors?

The biggest challenge for scale-up companies is that, as well as dealing with the growth they need to achieve, they also need to be grooming themselves either for sale or an IPO. This brings with it immense management challenges. It is critical that someone is making sure that the people involved are up to the job, that internal systems are robust enough and there someone is taking responsibility preparing the company for sale or IPO. This may be the role of the CEO supported by the Chairman or a key non-executive director. In turn, these people will need to be supported by specialist advisers.


SHAREHOLDERS
NEDs
Founder President
Founder - still involved
Board and company advisers
Tech
Legal
HR
Regional sales teams
Regional sales teams
Sales team national
Sales team international
PA
PA
Sales
Marketing
Production
Finance
Operations & other
Marketing team
Suppliers e.g. marketing agencies
Digital marketing
Print media & other
Production team
Suppliers
Subcontractors
Finance team
Debtor team
Creditor team
Fundraising & investors relations

Diversity, ageism and other topical issues

The angel investment market is now facing issues that are facing the wider business community. The most obvious one is diversity. The reason why these are topical is because increasing academic and other research has revealed that teams that are diverse build better companies.

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According to the Center for Venture Research at the University of New Hampshire, in 2004, in the US 3 per cent of the 48,000 or so companies that received angel funding were led by women -- that's approximately, 1,500 women entrepreneurs accessing angel investments. In 2016, women-led companies represented 22 percent of all companies that received angel funding -- that's more than 14,000 female entrepreneurs receiving capital to propel their early stage companies.

There are lots of academic studies that show that companies founded by teams where the average age is over 40 are also more likely to succeed.

There are lots of academic studies that show that companies founded by teams where the average age is over 40 are also more likely to succeed. Meanwhile, at the other end of the age spectrum, the "know no fear" attitude of younger entrepreneurs in their 20s, (who because of their stage in life have few responsibilities), can be a distinct advantage as the founders can commit the exceptional numbers of hours to drive a business forward at a very rapid pace.

Angel investment networks which specialise in management teams with certain characteristics are now seen more often. The most noticeable are networks that specialise in backing female entrepreneurs such as Golden Seeds in the US and Angel Academe in the UK.

Some networks, particularly who set up in or around a university offer deals with are focused on technologies being spun out of university departments. It is possible that more entrepreneurs in these communities will be older as they will have spent considerable time building their academic career before they embark on an entrepreneurial one.

Accelerators are often full of much younger entrepreneurs. Some networks, particularly who set up in or around a university offer deals with are focused on technologies being spun out of university departments. It is possible that more entrepreneurs in these communities will be older as they will have spent considerable time building their academic career before they embark on an entrepreneurial one.

Understanding the business model

The business model is distinct from the business plan. The term business model refers to how the business operates from a financial perspective. For example is it selling high volumes of product or service cheaply or it is selling small volumes of bespoke products and services for a high price, or it is something in between.

The term business model also includes the company's charging model. Does it charge up front before it delivers (or even makes) its product, known as making to order, or does it charge in staged payments against deliverables or does it charge at only when the product or service has been delivered to the customers' satisfaction?

Another business model is when a company charges a regular monthly fee regardless of whether the customers uses their product or service. In the word of software this is known as SaaS – software as a service.

There are many variants of the business models described above, for example, a SaaS model could also include a surge pricing model when the customer may pay more in any one period if it makes exceptional use of the product or service.

An important aspect of the business model is to what extend a company makes everything itself from scratch or whether it uses a supply chain. OEMs make extensive use of supply chains.

Another important issue in the business model is how a company uses its other resources. For example, does it employ everyone full time or does it use a mix of employees and contractors? Similarly, does it buy an office or factory from which to operate or does it rent or lease a site from someone else?

Understanding the business plan and working papers

Business plans come in many formats and it is not uncommon, particularly for an early stage company to discover the business plan is a slide deck, plus a series of working papers (see below).

It is important for all entrepreneurs to go through the exercise of writing a business plan as part of their entrepreneurial journey as it teaches them how to gather their thoughts and plans around where they will take the business and record what they have achieved to date.

A good business plan is a valuable document for three reasons:

- It forces the entrepreneur to consider all the important aspects of their business and how they plan to grow it, and how to communicate this in a readable, concise format
- It acts as a marketing, fundraising and latterly a reference document
- It shows that the entrepreneur can focus on a specific complicated task and deliver it.

Business plans are not, however, a document that will be referred to regularly. They are really point in time documents. The business plan therefore becomes out of date whenever something strategically significant happens. And it is rare for entrepreneurs (or for investors to want them) to keep producing updated business plans, as the time would probably be better spent on growing the business or addressing commercial challenges.

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As a result, investors should never rely on the business plan post investment, other than as a reference tool to compare with how things have gone. They should also pay as much or even more attention to the working papers provided by the entrepreneur.

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Signs of a poor business plan, (which probably means a poor business)

- The plan is delivered late or slowly – the plan should be ready to send at a moment's notice
- Spelling and grammar errors – no excuse given the software packages available on the internet
- Unprofessional fonts or colours
- Poor presentation generally e.g. on the wrong coloured paper
- Unbalanced sections or missing sections
- No images or diagrams, or too many. An entrepreneur should be able to communicate in both words and pictures
- Use of jargon or slang.

Structure of a good business plan

Numerous books can be found on writing business plans. The ones that are particularly good are: The Best-laid Business Plans: How to Write Them, How to Pitch Them (Virgin Business Guides) by Sir Richard Branson and Paul Barrow, How to Write a Business Plan with CDROM (How to Write a Business Plan) by Mike McKeever and How to Write a Business Plan by Brian Finch. Entrepreneurs can also hire people to help write business plans, though as an investor, you should remember that even if someone else helps them to write it, they must be able to convince you it is still their plan.

The business plan should have taken a lot of effort to write and this should be obvious from its look, feel and contents.

What does a good business plan look like? It should be no more than 50 pages long including appendices and is ideally 20-30 pages long. It should have various sections which are described below. It should be well laid out, concise and easy to read, with diagrams and illustrations to make key points where appropriate (e.g. in the section on Management there should be an organisation chart. The business plan should have taken a lot of effort to write and this should be obvious from its look, feel and contents.

The main sections of a business plan are:

- Cover page and contents
- Introduction
- Executive summary (this is written after the rest of the plan has been written and should not be more than 2-4 pages long).
- A section on the market opportunity

- A section on the management team which summarises their job title, the team members' careers to date and a description of their role
- Competitor analysis, including A SWOT (Strength, Weaknesses, Opportunities and Threats) analysis comparing the company with its competitors
- A section on the business model
- A section on what the business sells and to whom, including why the customer will like it
  - This section should also include information on areas such as the lifetime value of the customer and the customer journey.
- If the company has rich IP, a section on the IP status of its assets.
- A section on the suppliers and how the supply chain works
- A Financial section which covers
  - Historical financial performance
  - Current trading
  - Future financial projections
- Funding requirement and use of funds
- The exit plan
- Appendices
  - Management curriculum vitaes (CVs)
  - Detailed financial projections
  - Evidence of IP e.g. patents
  - Documents that support the business case e.g. industry reports or news stories
  - Referees and evidence of customer satisfaction
  - Letters of support or contracts from suppliers
  - Cap table

Detailed contents of the business plan, including the appendices

Essentially the business plan and executive summary need to include the following information.

The executive summary

The executive summary is a two-four page document, which has a paragraph or two describing each of the key parts of a business, which have been extracted from the business plan. No information in the executive summary should be unique.

At the very least, investors should read the executive summary and it should make them curious enough to read the whole plan.

You should be able to extract the executive summary and send it as a teaser to investors.

The main business plan

Here is a list of key things to the entrepreneur needs to communicate in the business plan. This information should be described in both words and with appropriate use of images and diagrams.

About the company

- Where the company is based, for example, "The head office is in Leeds, UK and our customers are based in UK and US"
- What the company does, for example "We are a social networking website focused on students"
- What stage it is, for example, start -up, growth or expansion
- Number of staff and offices
- The management team
- Unfilled roles and who is needed
- Details of the supply chain and who is in it, including the big issues and how the company is overcoming them. Further information about how the supply chain will change as the company grows.

About the market and the customers

- A description of the market opportunity
- The nature of the opportunity, for example, "Following market research, the company has identified that it should start selling 25 new ranges online and open its first shop in central London"
- Competitor analysis including a SWOT analysis
- Who its customers are and where they are based, including details of what they buy and how much they spend, including full detail on the top 10 customers and details of the sales pipeline?
- A description of the sales cycle and other issues relating to delivering the product or service
- How products or services are delivered to the customers, including details of the supply chain
- What is different about the company compared with the competition, for example, "We are the only business which has a website in 24 different languages"
- Major achievements so far, for example, "With only €5,000 of investment the company has generated €250,000 in sales and has customers in 24 countries around the world. No customer has ever claimed a refund. The company has won two major retailing awards in the last 12 months"
- The immediate potential for the business, for example, "We expect demand from customers to grow at 30% a year for the next two years"
- This should describe the medium and long-term growth prospects for the business and explain why you have come to this view, for example, "75% of our

customers have pre-ordered products from our 2008/9 catalogue even though the goods will not be available until summer 2008."

About the financial aspects of the company

- Recent trading history, for example, the company has grown revenue and profits each year for the last three years
- Summary financial projections for the next 3 to 5 years
- Cashflow forecasts for the next 3 to 5 years
- Details of the company's balance sheet
- Details of key staff terms and conditions.

About the fundraising

- How much money is being raised and what the money will be used for. For example, the company is seeking to raise €500,000 to fund the costs of expanding the range and to lease and fit out the premises for the new shop
- Details of any future funding requirements, including interest in raising debt
- An optional section on the valuation of the business
- Any special terms to the deal, for example, "We want to raise 50% of the money as a loan and 50% for shares. The company also qualifies for the Seed Enterprise Investment Scheme or Enterprise Investment Scheme for private investors."

Understanding the financial projections

Experienced angel investors vary in their views of the importance of financial projections as they are almost certainly going to be vastly over-optimistic and probably wrong in many areas. However, they cannot be ignored, as the numbers behind a business are part of its DNA. Also, the quality of the preparation of the financial projections will tell you a lot about the experience of the founders.

Experienced angel investors vary in their views of the importance of financial projections as they are almost certainly going to be vastly over-optimistic and probably wrong in many areas. However, they cannot be ignored, as the numbers behind a business are part of its DNA.

The financial projections are not only relevant to understanding how the company works but how it will grow. They also impact on the valuation of the company now and in the future – a vital issue when it comes to whether to invest or not.

The financial projections will take two forms

- The formal projections which you will find in summary form in the executive summary and investment pitch and in detail in the business plan
- The informal projections which will be what the entrepreneurs feel they can achieve in the light of reality.

Angel investors must understand that formal projections are created based on sets of assumptions, which may or may not be very good. If the projections are based on too

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many assumptions, they are probably as inaccurate as those based on too few. Most entrepreneurs will not have built a business like the one they want you to invest in before. Therefore, they will always be making a best guess based on the knowledge they have when it comes to preparing the financial projections. In addition, in order to attract your interest, the projections must always be very optimistic showing the "hockey stick" shape of success in growth in sales, profitability and cash flow generation. You do not want to invest in any business that does not show this level of optimism at the start, even if you know that the financial performance of the company will never look like the projections.

Financial projections have three parts:

- The profit and loss account,
- The cash flows and
- The balance sheet.

The profit and loss account

The profit and loss account shows the revenue, the costs and the net profit and loss in any one period. To understand them you need first to consider what period they are covering. The nearer in time to today they are the more likely they are to be accurate. If they cover a long period e.g. a year, bear in mind the fact that sales and costs will vary within the period – seasonality is an important factor in many industries – in retail for example most companies make the majority of their sales in the autumn through to December (Christmas). The important headline things to look at are sales and cost growth and the gross, operating and net profit margins.

The cashflows

Cashflow projections should be very detailed and separate out what costs cannot be avoided (for example, rent, wages, utility bills) and those which can be reduced or increased depending on what the company is doing (marketing spend is a good example of this).

Cashflow projections show what money is coming into the company, from sales, grants and investment. They also show how that money is being spent. At the beginning of each period the cash in the business is carried forward from the previous period and at the end the cash available is brought forward to the next one. Cashflows should be prepared on at least a monthly basis and from them you can see the rises and dips in the working capital that is available to the company over time. It is from the cashflows that you can see how much investment a company will need over time and what it will be spending the cash it has on.

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The balance sheet

The balance sheet is a record of the company's assets and liabilities on a fixed day and how these are funded. A balance sheet has two sides which must balance. On one side of the balance sheet the assets are recorded the top followed by the liabilities. These are netted off against each other to show the net assets. On this side of the balance sheet you can see various key numbers:

- The value of the physical and intangible assets of the company
- The amount of money owed to the company
- The amount of money the company owes
- The amount of cash the company has on the date of the balance sheet.

On the other side of the balance sheet there is a record of the share capital the company has issued to shareholders and the amount of profit or loss the company has made to date.

To understand the financial projections, you need to look at all three sets of figures in relation to each other. They should connect, with the cashflow driving the profit and loss account and the balance sheet. As today's entrepreneurs should all have access to spreadsheet software, there is no excuse for the numbers not to tie together.

To understand the financial projections, you need to look at all three sets of figures in relation to each other. They should connect, with the cashflow driving the profit and loss account and the balance sheet. As today's entrepreneurs should all have access to spreadsheet software, there is no excuse for the numbers not to tie together.

However, the numbers will only ever be as good as the people who prepare them and the assumptions they make, so it is vital to understand why they are being prepared. Are they just an attempt to impress investors or are they grounded in solid logic?

Some entrepreneurs will take a very analytical approach to the preparation of the financial projections, and others will be more generalist. Some people will be ridiculously creative.

When it comes to the assumptions e.g. rates of sales growth, a good angel investor will make sure they understand how these relate to the industry in which the company is operating and in the context of the size of the company. One complex, but important, thing to consider is the sales cycle i.e. how long it takes for a company to make a sale and then to bank the cash from the sale. This is an area where most entrepreneurs have little experience, but which has a significant impact on the cashflows of the business and if the company does not have enough cash it will either have to grow more slowly or may even face having to cease trading.

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Understanding the working papers

Financial projections should not be created out of thin air. It is important to ask for the evidence the entrepreneurs have used to create the projections. This might be comparable businesses and/or based on market research.

Understanding the law

Both business and investment law change all the time. It is therefore surprisingly easy to find yourself investing believing one set of rules is in place, when in fact they have recently changed. In addition to what has already been discussed, you might also like to consider the following areas of law that matter to businesses.

Company law

Many countries allow for businesses to operate under different legal structures. In the UK there are limited companies, public limited companies, partnerships and a relatively new structure known as B Corporations. Historically limited company structures were designed for smaller privately-owned businesses, whilst public limited companies were for quoted companies or unquoted ones with large numbers of shareholders.

Partnerships are common particularly in professional services firms and can be unlimited (when the partners have unlimited liability) or limited where the partners have only limited liability if the business fails.

B Corporations are a special type of company. They enshrine in their articles of association a variety of responsible behaviours around their business operations. For example, they may state that a certain amount of profit will be reinvested in activities which have a social purpose or will be given to charity.

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If a business wishes to change its legal status this can be time consuming and expensive and may require going to court to get a judge's approval for the changes to be made. Therefore, it is vital that you understand what type of legal structure you are investing in before you write a cheque.

Angel investors need to be aware that company and business law may also be different from region to region or state to state within a county, so that needs checking too. In some places, for example, there may be restrictions on whether investors who are domiciled outside that jurisdiction may invest at all. Usually there are workarounds so that you can invest e.g. investing through a company or via a nominee in the local jurisdiction, but it is better to make sure as after the event, if you have invested in the wrong way, the only way to get your investment properly recognised may mean going to court.

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Employment law

Employment law is a vital area for investors to understand properly as different jurisdictions can have very different rules, especially about how employees can be hired and fired. Equally within a jurisdiction the rules may be very different depending

on the size of the business. Breaches of employment law typically come at a very high cost to companies, not only in terms of money, but also the time it takes management teams to deal with allegations and resulting litigation.

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As many angel backed companies employ people in a variety of ways, from full time to freelance to consultants, the potential for problems to arise is high. Fast growing companies need to be able to change direction quickly and if they do, this probably means the personnel will need to be reallocated, reduced or increased. It is vital therefore to make sure you understand the ramifications for the company if it does need to hire and fire people.

Workplace safety and other worker protection laws also complicated but vital to understand. One area to consider are the laws around the number of hours that may be worked by an employee. In a company is based in the EU, the Working Time Directive covers this area. In a small business where resources are limited but the work required may involve lots of people-hours, this can easily be breached. Remember that the founders may be employees too so will have these rights even though they are also owners. It is well worth doing a back of the envelope calculation to see if the team has enough time to achieve its objectives in the time frames it is promising.

Data protection

Data protection laws are a growing issue, especially around internet-based companies. The penalties for breaches of data protection can be very severe and the fines can be ruinous. With the rise in investor interest in areas such as AI, angel investors must have a good understanding of how the companies they are investing in are handling personal data.

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Financial and other crime

Another area that is becoming very important is financial crime. Companies have a legal responsibility not to get involved in criminal activities, but criminals are clever. In areas like money laundering, they are always looking to clean the profits of their crimes. They will look for businesses who can help them do this by putting money through their bank account. The types of companies that are particularly at risk of being targeted by criminals are those where there are a lot of cash transactions, but smart criminals are also on the lookout for companies where the directors are not on top of the accounts and bank accounts. In this case, they might try to blackmail someone in the accounts team to process transactions for them. And of course, there is always a risk that one of the team is undertaking criminal activity using its employer's bank accounts and/or premises.

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Sector Regulation

Each business sector will also have its own rules and regulations by which it must operate. Food safety is an obvious one. Medical technologies and drug discovery are very heavily regulated. In manufacturing, retail and live entertainment, health and safety rules are very important.

Understanding the intellectual property

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Intellectual property takes many forms. The one that gets a lot of attention is patents, but this is a comprehensive list of the types of intellectual property a company may own.

Patents

Patents are formal registered documents that give the company (or person) the right to exploit a unique innovation for a fixed period. More importantly they specifically prevent another company or person from exploiting that innovation during that time. Patents are typically expensive to obtain but have a relatively long life. Usually the patent application process takes a long time, with various formal stages that must be gone through before the patent is granted. Patents are expensive to obtain but once won, give the company a long period to exploit the innovation.

Investors need to understand exactly where a company is in the process of a patent application as entrepreneurs may claim to have a patent even though it has not been formally granted.

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One vital thing to know about patents is that the innovation must be a secret when the application is FIRST made. Therefore, if an entrepreneur has shared with you the fine detail about their innovation before they have applied for the patent, this will automatically disqualify them for obtaining a patent.

Trademarks

Trademarks are issued by the authorities giving the owners of the trademark the right to use it for a fixed period and like patents, to prevent others from using it. Trademarks tend to cover areas such as logos, business branding and key phrases or images relating to a product or service. Even colours can be trademarked in some countries. In some jurisdictions it is possible to claim a trademark before you register it. If your claim is not challenged, this builds evidence that will be important when

Trademarks tend to cover areas such as logos, business branding and key phrases or images relating to a product or service.

you actually register it. Normally if you see a ™ by a word or an image this means the trademark is being claimed. If you see ® it means the trademark is registered and you may not use it without the trademark owner's permission in the area of activity in which is has been registered. Trademarks are usually registered for a fixed period and the owner has to renew the registration thereafter if it wants to continue to have the rights to use it (and to prevent others from using it).

In 2016 Anne Cassidy wrote an excellent article in The Guardian in the UK on some famous trademark cases. We have quoted the article below as it shows just where and when organisations get excited about the issue.

"Iceland, the land of fire and ice, is taking on Iceland, the purveyor of frozen chicken tikka lasagne, in a major trademark battle. The Icelandic government launched legal action against the British supermarket last week, arguing that the grocery chain, which owns the Europe-wide trademark registration for the word Iceland is preventing Icelandic companies from promoting themselves abroad.

The contest is one of many brand name legal battles offering more entertaining plot points than your average box set. We look back at six of the best:

Elvis Presley v BrewDog

Elvis Presley may have died (or so most of us believe) in 1977 but his name lives on, and sometimes not in quite the way the guardians of his estate would like. This year the Presley estate entered a trademark dispute with Scottish brewer BrewDog, demanding it drop the name of its beer brand "Elvis Juice IPA". In response, Brew Dog's founders, James Watt and Martin Dickie, have changed their names by deed poll to Elvis so they can argue they named the beer after themselves. Watt and Dickie explained in a pun-strewn press statement that they were "caught in a trap" and advised the "grey-suited hound dogs" at the Presley estate divert their attention to "another potential source of quick remuneration: a brewery that calls itself 'The King' of beer".

Apple Corps v Apple Computer

When he named his company Apple, Steve Jobs must have foreseen he'd attract the attention of Apple Corps, the holding company founded by the Beatles in the late 1960s. In 1978, two years after Apple Computer launched, Apple Corps, owner of the Beatles' record label Apple Records, sued it for trademark violation. In 1981 they settled with the understanding that Apple Computer would never enter the music industry. Needless to say, this settlement didn't last. The dispute came to a head after Apple unveiled iTunes in 2003 and it wasn't put to rest until 2007 when it was agreed Apple Inc, the company dropped "Computer" from its name that year, would own of all the trademarks related to "Apple" and would

"When creating your brand name, from the very beginning you need to look at where your brand might be going in the future," advises Rebecca Robins, global director at Interbrand.

license certain trademarks back to Apple Corps, including Apple Corps' granny smith logo. The Beatles' back catalogue finally became available on iTunes in 2010 after years of negotiations. Jobs, a Beatles fan, described the whole saga as a "long and winding road". As the most valuable brand in the world, according to branding consultancy Interbrand, Apple can easily afford such wrangles, but there's a lesson here for the rest of us. "When creating your brand name, from the very beginning you need to look at where your brand might be going in the future," advises Rebecca Robins, global director at Interbrand.

WWF v WWF

When wrestling company Titan Sports changed its name to the World Wrestling Federation it was drawn into a legal fight with another WWF, the World Wildlife Fund, that lasted 13 years. The conservation charity took action to protect its brand from what it described as an "unsavoury" connection with wrestling, and, in 2001 a court in London ruled in its favour. Not one to take a beating lying down, the World Wrestling Federation challenged the ruling, and, after that was dismissed, it threatened to appeal. The wrestlers eventually gave in and spent millions rebranding to World Wrestling Entertainment, WWE. It also used the line "Get The 'F' Out" as a marketing slogan. After the World Wildlife Fund's victory, a spokesman for the charity said: "It's been the wrestlers against a cute little panda bear. And the panda won."

Victoria Beckham v Peterborough FC

In her previous incarnation as a Spice Girl, Victoria Beckham found an unlikely sparring partner in the form of football club Peterborough United. In 2002, Beckham opposed Peterborough United's attempt to register "Posh", the club's nickname, as a trademark, with her publicity company claiming that the word was "inexorably associated with her in the public's mind". The club contested that it had been using its Posh moniker since the 1930s and Beckham's challenge was overturned. "People get very attached to a name they've either adopted or used for aeons and they feel they have a God-given right to it," says Michael Johnson, founder and creative director of branding and design consultancy Johnson Banks. "It's pretty ridiculous that Victoria Beckham even considered she owned the word 'posh', and Peterborough claiming they own it is also dodgy. Posh is a word."

Instagram v LitterGram

Combating Britain's litter problem was Danny Lucas's goal when he founded LitterGram, an app that encourages users to share and geotag pictures of litter they see on the streets and report it to their local council. However, his app came to the attention of lawyers for Instagram and its owner Facebook who told him in

September to change the name or face a lawsuit. They argue the use of "gram" in the title could undermine the world's most famous photo-sharing site's brand. Lucas says: "They've said 'change your name' and they've given us deadlines which have come and gone. We make an appeal and they don't respond." He has delivered a public plea to Facebook founder Mark Zuckerberg claiming the "unreasonable demands that we rebrand will kill our momentum", and last month it was announced that Instagram had dropped the case.

Facebook takes brand protection seriously, as evidenced by a previous wrangle it had with a teacher's community website in the US called Teachbook in 2010 for using the word "book" in its name. In the end Facebook agreed to drop its trademark suit after the group changed its name to TeachQuest.

Starbucks v Sambucks

Starbucks has not been one to shy away from trademark battles with considerably smaller adversaries. The world's largest coffee chain once went after a restaurant in British Columbia because it was called HaidaBucks and took a Texan bar owner to court over a beer he brewed and sold named Star Bock. Sam Buck Lundberg, a coffee shop owner in the small town of Astoria in Oregon, didn't have long to wait for her Starbucks order when she used her name to brand her shop "Sambucks". Starbucks sent her a cease and desist letter and reportedly offered her financial compensation to rebrand, but when she didn't comply the case went to court. In 2005, a judge ruled in favour of the coffee giant, ordering her to drop the name "Buck" from everything in her store, including the coffee cups and the front window. Lundberg's verdict? After the ruling she told ABC News: "People think this is a crock of crap."

Trademarks are much cheaper to obtain than patents and can be a powerful way to protect a business – Coca Cola is an excellent example. With the right trademarks a company can make itself incredibly valuable and sustainable even if it does not have other intellectual property.

With the right trademarks a company can make itself incredibly valuable and sustainable even if it does not have other intellectual property.

Trademarks are typically registered in each country in which a company operates. This may be countries where the company sells goods and services not just where it makes them. However companies with global ambitions will need to register their trademarks in all the countries where they both produce AND sell goods and services.

Registered Design Rights

Registered design rights are a less well-known area of intellectual property, but can be very important. Designs can cover the design of products, but also processes such as manufacturing.

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Dyson vacuum cleaners famously register all their design rights and vigorously protect them.

This is a specialist area and angel investors should take advice from an intellectual property lawyer when it comes to understanding design rights and how strong they are.

Copyright

Copyright is different to other types of intellectual property in that it is easy to generate and cheap to record.

Copyright is different to other types of intellectual property in that it is easy to generate and cheap to record. The © symbol indicates that someone is claiming copyright over a document. As it is so easy to obtain, copyright needs more investigation than you might initially think. For example, if a company uses third parties to do design work, the copyright may stay with the designer who licenses it to the company for use in specific circumstances, so you can have a situation where a company does not actually own its brand. A lot of software code is protected by copyright.

Trade secrets and other

Trade secrets, publicity rights, moral rights, and rights against unfair competition are all intellectual property too. They typically rely on the owners to protect them.

Trade secrets, publicity rights, moral rights, and rights against unfair competition are all intellectual property too. They typically rely on the owners to protect them. Trade secrets must be kept in a safe place and should only be known by a very few people (a good example is the formula of Coca Cola). Publicity and moral rights tend to relate to people and cover issues such as how a person's images are used or how they are treated by others. As a rule, the individual wanting to claim their rights will have to make a claim, but investors should be careful in companies involved e.g. in social media, that they understand whose rights might be breached because of how the business behaves.

Unfair competition is a big issue, but for early stage companies it is more likely that another (bigger) company may treat it unfairly rather than the other way around.

Identifying what is missing

It would be easy to say that if everything included above has been made available to the entrepreneur via the executive summary, the pitch and the business plan then nothing is missing to enable you to make an investment decision, but sadly it is not that easy.

From what you have already read you will know that all the information you receive will need checking. The later chapter on due diligence will go into that in a lot more detail, but there are a number of areas of you will need to find out more about that are never typically included in the investment pitch and business plan.

These are the major areas which are not covered by that information.

The background to the management team

To understand whether the founders you are backing will have the best chance of success at achieving what they are telling you they will achieve, you need to know more about their background, so you can understand what pressures will come to bear on them over time. Areas such as their personal circumstances (both in terms of finance and family life) will need to be investigated, for example.

You also need to understand how the entrepreneurs interact with one another and how they deal with areas of conflict both with each other and with third parties. Entrepreneurs will typically be loath to tell you what about their long term plans, but this is something you need to get a handle on. And do you know whether they will they walk away when things get tough or stay to sort it out?

Another essential thing you need to know about the management team is who is in control of the bank account and how payments are controlled and made. With the rise of online banking, this is particularly important as sometimes a very junior person may be processing bank payments on behalf of the founders.

Another essential thing you need to know about the management team is who is in control of the bank account and how payments are controlled and made.

The customers

Whilst you may have an idea of who the main customers are from the pitch, you will need to see full details not only of the existing customers but also previous customers and the sales pipeline of future customers. You also need to see find out what customers think of the products and services they are being sold. This will mean taking up customer references. You will also need to understand how strong those customers are, for example do you know if they will pay their bills on time or will they stretch the payment terms. Remember too that in large companies, there will be a purchasing team whose job is to negotiate the best possible payment terms. So even though a customer elsewhere may have agreed a contract with an investee company, it might not actually get signed until after the purchasing team has renegotiated.

The suppliers

A weak point for many growing customers is the lack of a strong supply chain that cannot fail. Many a company has been ruined, not by what it does but because of failures in the supply chain. Make sure you understand about the investee company's supply chain, including who alternative suppliers might be if the current suppliers fall away.

The company books

All companies will have registration documents relating to their incorporation (e.g. a certificate of incorporation) and areas such as their tax status. They also each

All companies will have registration documents relating to their incorporation (e.g. a certificate of incorporation) and areas such as their tax status.

have a set of rules by which they govern themselves. These are often called the memorandum and articles of association. These need looking at, as even in the first instance a company must be allowed to raise investment and sell its shares to third parties if you are going to invest. It must also be allowed to undertake the trade it wants to do.

Companies also need to keep a record of their shares and who they are issued to, including any share options that have been issued. This information is normally summarised in a cap table. Behind the cap table will be documents like share certificates and share option agreements.

Companies also need to keep a record of their shares and who they are issued to, including any share options that have been issued. This information is normally summarised in a cap table.

Other background documentation

Companies need to supply you with details of their bank accounts, insurance certificates and other formal documentation before you invest. Remember that with money laundering regulations now being applied at an international level, large transfers of money within the banking system are looked at very closely. However, that does not mean you should not check yourself that any investment you make is being made into the correct, namely company's, bank account rather than, for example, the personal bank account of the founder.

Litigation

Most companies will have at least minor disputes with someone – a late paying customer or a supplier who has made a delivery error – and some will have major disputes which could even be with existing shareholders. Details of any litigation will need to be uncovered.

Competition

Most entrepreneurs have a distorted, and possibly overly emotional view, about the competition. Some dismiss it, but may do so too lightly; others are paranoid about competition to the extent that it affects their decision-making. What is certain is that the information in the pitch and business plan will not have a full picture of the competitive landscape. Make sure this is an area you prioritise when doing further analysis of the company.

Most entrepreneurs have a distorted, and possibly overly emotional view, about the competition.

Regulatory and other permissions

You will probably not have been told about the detailed regulatory permissions or other authorisations the company needs to operate. Such permissions may have to change if the company changes direction or even physical location.

Check list of an angel investor

Here are the major things you will need to check after the pitch and the business plan

	The pitch	The business plan
The investment opportunity	How much money has been raised already; the valuation	Detail on how the money will be used; what the terms of the deal are likely to be
Management	LinkedIn profiles, website biographies, CV	References from other investors, previous employers and depending on age – employment qualifications. If professionally qualified check the certificates. Team structure vs reality; job roles Finding out about the second 2nd tier and other people such as consultants and advisers
The market	Recent news and market reports	Detailed analysis of the market, customer referencing, competitor analysis, business models, normal profit margins
The law and related issues	Which regulatory frameworks and other applicable laws apply. Who owns the intellectual property	The company books and other information such as bank accounts and permissions to trade.

Case study

Being a good investor is, first of all, a matter of discipline,
by Franceso Corea

It is obvious that most of the time being a *thematic-driven* or general investor gives you more flexibility on where to invest, but it also makes easier for you to get lost into any opportunity that may knock on your door. Shaping an investment thesis instead helps you finding a rationale and restricts your playground in such a way that you cannot forget what it is relevant to you.

A thesis is always there to remind you why you invest in what you invest, why exactly you are in the game and what your inner investment boundaries are.

Of course, you need to stick to it. But if you do, it will make your life much easier, and it would make easier for the right founders to find you too.

So let me start with what I know that is driving my own investment thesis. I know that tons of data are produced every day and this quantity is increasing exponentially every year. I know that computing power and cloud storage are becoming more accessible, cheaper and more efficient. I know we live in an era of

relevant scientific discoveries, where new algorithms are created every year and novel approaches to old problems are tested every day.

This is the century of Complexity, where studying non-linear relationships between phenomena is becoming the norm and tools from a certain discipline can be easily applied to a different field unlocking new potential breakthroughs.

Finally, I know that capital is abundant, although often not efficiently allocated. The VC industry is consolidating, with the creation of many more mega-funds and more money deployed into fewer companies. Those companies have to be "*VC-approvable*" and therefore are created with a specific roadmap in mind, trying to solve a specific narrow problem, often with an incremental type of innovation rather than looking for profound technological disruption, and following well-developed business models and gigantic markets. These are some of the reasons why many companies we admire and love today had very hard times in their beginnings.

These are facts. Nothing more than data pulled out of analysis and events you can easily observe around you.

Now let's jump to the most complicated part, i.e., what *I think* I know.

I actually think that relevant innovation should be pursued, rather than simply internet companies with new business models. I think that technology plays a huge role in this, and that deep technology in particular (where engineering and science converge) is the road ahead.

I think that deep tech represents an opportunity because is an underserved market, because the risk/return profile better fits a *power law distribution*, and because the exit horizon shows to have a *"barbell distribution"* (you can either be immediately acqui-hired or do a greater exit later than traditional SaaS companies). I do think real deep tech is also something hard to be copied, and then makes it a more defensible business.

I also think that smart-capital should make more resources more accessible to most of us and that individuals should not be limited by physical and mental limits, but rather be more autonomous and both physically and virtually healthy.

I think the future will be decentralized, data-driven and exponentially evolutionary, and that the human complex system will be more robust, healthy, and intellectually advanced.

And this is the future I want to help achieve.

So without further ado, here it comes my investment thesis:

I back founders that use foundational technologies to enhance human physical and virtual resilience and leverage resources more efficiently.

Weird thesis written in complicated language, isn't it? But what does it really mean?

Well, it means that I want to look at companies building horizontal stacks and using enabling technologies such as Artificial Intelligence, Quantum Computing and Blockchain to make us smarter and healthier both physically (Synthetic Biology; Genomics; Diagnostics; Neuroscience; Drug Discovery) and virtually speaking (Cybersecurity). In order to have this broaden access to knowledge and well-being, I also need to look for new ways to be *"fueled up"*, either by producing and storing sustainable Energy as well as by creating more efficient and balanced molecular structures (New Materials and Chemicals).

A final note: this thesis does not begin saying "I invest in companies that…", but it deliberately highlights the most important things I, as a researcher, advisor, angel, and generally as a professional look for: *team* and *people*.

I completely buy in the current opinion that seed is not a stage but rather a phase and I know that is very hard to find quantitative signals in the very early phases of a multi-year long path, so I try to base my analysis mostly on people and try to gather as many data points as possible on the rest (will publish soon some of those criteria in different blog posts).

My initial screening checklist will be the following:

- Full-time co-founders team of at least 2 people;
- Having a functional MVP/prototype;
- 3–6 months of revenues (even small, but coming from testing the product and not from consulting fees);
- Prevalently B2B or B2B2C business;
- Pre-money valuation lower than $3M.

I am starting angel investing now, my tickets will be small, I am not in a rush to invest in something, and I only put money where I am extremely convinced and confident about the tech and the people behind it. This means I do not invest as many angels after two meetings or without much diligence or driven by FOMO.

So if you are an entrepreneur working on an audacious project in deep tech and need some help or simply wanna chat, feel free to reach out!

Questions

- Why is an elevator pitch important to an investor?
- What is the information that should be included in an executive summary and how does this compare with the information included in a short video pitch? Use examples to illustrate the points you make.
- What elements should be included in a formal investment presentation to investors? What background information should an entrepreneur bring with them to that meeting and why?
- Describe what should be included in two sections of a business plan. Explain why you think these two sections should be prioritised over other sections of the plan.
- What are the biggest risks from not thinking about information that is missing from the business plan?

Exercises

- Prepare an elevator pitch and executive summary for a new business you are starting which is seeking €500,000 in equity investment. You may also make a video.
- You are an analyst hired by an angel investor to look at the financial aspects of the investments he makes. Obtain a set of financial projections from an entrepreneur you know and prepare a detailed financial analysis of the business including reference to working capital requirements. Identify what further information you require to do a more detailed follow up piece of work.
- You are a new angel investor and want to know more about the management team. Prepare a list of questions you should ask the people and a plan of action about how and where you are going to speak to them. Write a checklist of other help you may need in getting into the mindset of the entrepreneurs so that you do not back the wrong people.
- You are an angel investor and have been asked to make a 15-minute speech on the best and worst business plans you have seen. Write a speech and a presentation you will use to support the talk you give.
- Prepare a table comparing the different regulatory frameworks for angel investing in the US, EU and in your country.

Appendices

Frequently Asked Questions

Appendix 1

Questions angel investors can ask entrepreneurs

1. What does your business do?
2. How many countries does, and will, your business operate in?
3. Who currently has a stake in your business?
4. Are these people investing in this funding round? - If not, why not?
5. Are you familiar with the different investment structures used in angel investing such as liquidation preference?
6. Tell me about your management team.
7. Are there any gaps in the management team? How will these be addressed?
8. Who are your current and future customers?
9. Who are your suppliers and what are your contingency plans for when they can no longer supply you?
10. What intellectual property protection do you have?
11. What is your business model?
12. What is your financial model?
13. What are your profit and cash flow predictions for the next year, 3 years, and 5 years?
14. Why do you need my investment?
15. How much have you raised this funding round to date?
16. What was the pre-money valuation for this round?
17. What are your plans for future funding rounds?
18. When will you hold more financing rounds?
19. How much would you be looking for?
20. What is your valuation of the business?
21. How do you justify that valuation?
22. What are your long term goals for the business?
23. What are your personal long term goals?
24. What is your exit strategy?
25. When do you intend to exit?
26. What are the details of your smallest and largest customers?
27. What is your cost of customer acquisition?
28. What customers have left you and why?
29. What is differences in costs and resources to service your largest and smallest customers?
30. Who are your competitors?
31. How are you performing in relation to these competitors?
32. What is your market segment?
33. How is your market segment behaving?
34. Is your market segment growing?
35. How long is the life of your product/service?
36. What is the product development and launch time-line?
37. When substitutes appear, how will you react?
38. What is your R&D focusing on?
39. Who is in your supply chain and what is your relationship with them?
40. Are alternative suppliers available to supply you with goods and services if necessary?
41. What is your marketing and PR strategy?
42. How much are you spending on PR & adverts and on what?
43. Have you had any press coverage or been asked to speak about your business e.g. at a conference? If yes, what impact did this activity have?
44. Have you considered the risks and challenges to commercialisation?
45. Who are the management and what experience do they have?

46. Who is on the board?
47. How are you approaching diversity when it comes to building your business?
48. What are your intentions for the business in the long-run?
49. What are your views on issues such as environmental responsibility?
50. What do you intend to do with the money you make from growing and selling this business?

Questions entrepreneurs can ask angel investors

1. Have you invested before? If yes, in what deals and for how much?
2. Do you invest alone or as part of a syndicate?
3. How much do you invest in first and then follow-on funding rounds?
4. Are you a certificated investor?
5. Have you done any angel training?
6. What investments have you exited from?
7. What can you contribute to my company?
8. Are you happy to use your network to help me grow the business? If yes, how do you like to work in terms of introductions to business and investor prospects?
9. How much time will you have to help me with my business?
10. What terms do you like to invest on?
11. Do you have contacts with venture capitalists and corporate venturing firms
12. Do you have contacts in the financial services industry who can help me with new funding rounds and/or an exit?
13. Have you been a non-executive director or chairman of a company?
14. Which country do you like to contract in when it comes to investing in an unquoted company – your country or mine or elsewhere?
15. What would you like to happen to your shares if you become incapacitated?

Preferred Ordinary Shares

a more detailed explanation

Appendix 2

Preferred Ordinary shares are an equity structure that is used to protect an investor's downside risk. They are in common use by Venture Capitalists, but it is rare for angel investors to use them.

Preferred Ordinary shares differ from ordinary shares or Common Stock in that they have additional rights to a return of capital when there is a liquidity event at the company. Liquidity events include trade sales, IPOs and company failures.

At the liquidity event the Preferred Shareholder has priority over a return of his or her capital and/or has the right to share in the returns the ordinary shareholders based on the % of equity that they own.

Liquidation preference is a provision meant to serve as protection for investors if a company exits at a value lower that which was initially expected.

Liquidation preference is a term used by investors, especially venture capitalists to explain that their investment, on exit, will take their returns ahead of the other investors. The remaining investors share out the balance of monies left over between themselves after the VC has taken their cash.

Typically the holders of shares with liquidation preference (known as "preferred shares") have the right to take their return based on their preferred terms or they can convert their shares to ordinary shares if this means they will take a greater return by that route, making it a win: win financially for the holders of preferred shares.

In an IPO all preferred shares are typically converted into ordinary shares immediately prior to the IPO

There are various types of Preferred Ordinary Shares. These are the most common:

- Non-participating Liquidation Preferences i.e. "Straight Preferences"

  In this scenario the investor either takes their original investment OR converts their shares into ordinary shares and takes their return based on the % share they own in the company

- Participating Liquidation Preferences i.e. "Double-Dip Preferred"

  In this scenario the investor takes their original investment and then also takes their share of the returns based on the % share they own in the company.

- Capped Liquidation Preferences i.e. "Partially participating Preferred"

  In this scenario the investor takes a partial preferred return and the return based on the % share they own in the company

Sometimes investor demands 2x liquidation preference or more. In these situations, the investor takes 2x or more their original investment and then also takes their % share as if they were just an ordinary shareholder.

Here is an example of how liquidation preference can work.

A 1x liquidation preference means that if you (as a venture capitalist) have invested €1 million into a company, you must be paid back €1M before any common shareholders are paid anything. If the company was sold for €1.5M, you would be guaranteed at least €1M no matter what your equity ownership is. If this company was sold for €900,000, you would be guaranteed the entire proceeds because €900,000 falls under your guaranteed €1M in liquidation preference. For a 2x multiple, you will be paid back €2M (despite only committing €1M) before common shareholders are paid anything. Multiples are typically 1–2x but depending on market conditions, they can be as high as 10x. If you are an entrepreneur or an angel investor, you obviously want the lowest possible multiple to have the least amount of proceeds obligated to the preference shareholder.

The point of indifference

The point of indifference is when there is no financial difference for the holder of the preferred shares whether they exercise their preference rights or convert into ordinary shares at the point of exit.

It is important to understand the point of indifference in terms of the exit price as the company will need to sell at a higher point than this for you to get your % return pari passu with holders of preferred shares.

Liquidation: The Waterfall

When there are multiple rounds of investment and many investors have liquidation preference it matters in which order investors take their preferred return. The investor who has seniority takes their return first and then the other investors take their returns. There are various types of seniority in this situation.

Standard Seniority

Under standard seniority liquidation preference pay-outs are done in order from latest round to earliest round.

Where there is a liquidity event the Series B investors will be paid back their full liquidation preference before Series A investors receive anything. If both Series B and Series A investors commit €10m each with 1x liquidation preference and the company is sold for only €10m, Series B investors will receive the full exit proceeds with Series A investors getting nothing.

Many venture capitalists use standard seniority when investing in early stage deals because the angel investors depend on them to fund the next (larger) round of investment, but will not accept more complicated liquidation preference structures.

Pari Passu Seniority

For this structure, preferred shareholders **across all stages have the same seniority status**. This means that every investor will receive a piece of the proceeds. Every investor from Series A to K and beyond will have equal priority when receiving exit proceeds.

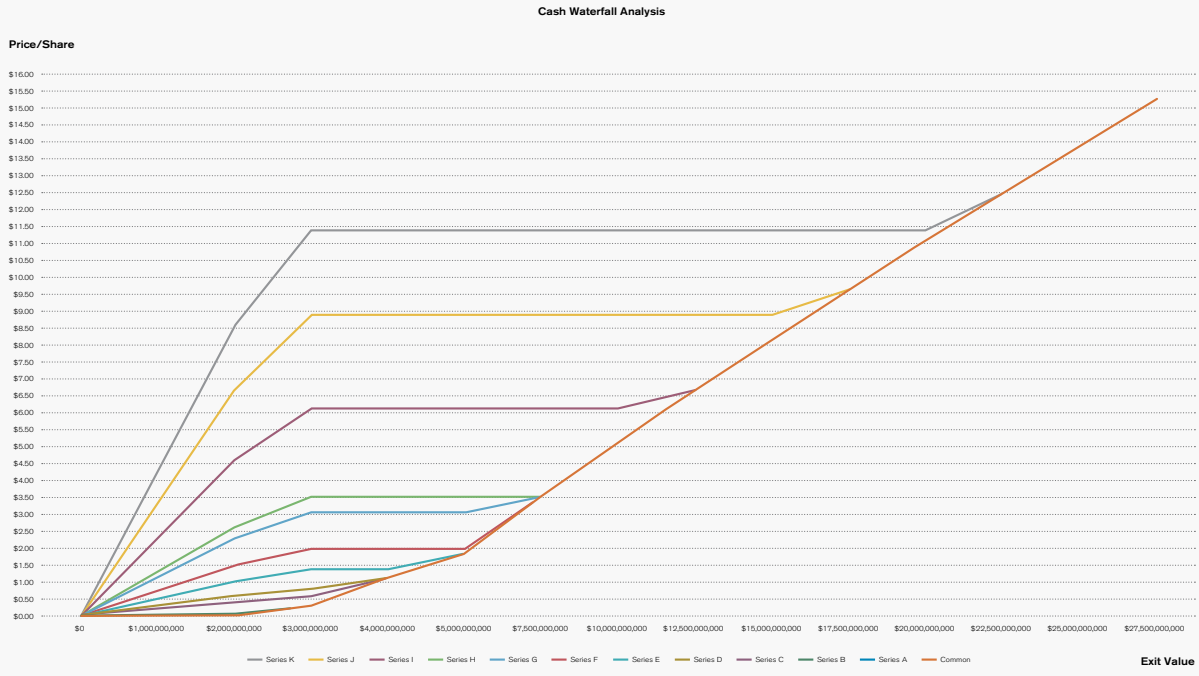
For *pari passu* pay-out, investors share proceeds pro rata to capital committed if there are not enough proceeds to fully cover all investors.

For example, if a company has raised capital on Pari Passu terms this, is the sort of scenario that will occur. Company X has raised about €3 billion in total with 1x *non-participating* liquidation preferences. Their Series F investors have committed €70m, which is 2.6% of total funds raised; while the Series J investors have committed €400m, which is 14.8% of total funds. If the company was ever liquidated for only €100m, Series F investors will receive €2.6m (2.6% of exit proceeds) in liquidation preferences and Series J investors €14.8m (14.8% of exit proceeds). It is important to note that liquidation preference pay-outs have nothing to do with equity ownership here.

For investors, the *pari passu* format makes *non-participating* pay-outs complicated. Because *non-participation* leaves investors with two options (whether to exercise their liquidation or convert), investors' decisions are mutually dependent on each other's. Recall that choosing to convert allows one to be paid back in proportion to equity ownership by converting preferred shares into common shares. This conversion into common shares technically means that this pay-out will happen **only after preferred shareholders' liquidation preferences on your seniority level** are paid back. If a company is sold for €100m, an investor with 50% ownership might expect €50m in pay-out after conversion. However, if every other investor chooses to exercise their liquidation preferences, the converted investor will receive 50% of a significantly smaller remainder of the proceeds (<€100m). The remaining proceeds may fall below this investor's original conversion point. This scenario only happens under *pari passu* format due to shared seniority.

So, while every investor technically has the same seniority, decisions will always start in order of investors with the highest conversion point (typically at the latest stage) to the lowest conversion point. This ensures that conversion decisions are optimal for all parties.

The *pari passu* structure is commonly found in unicorn companies, especially those started by prominent founders. Top start-ups do not have a shortage of funding, so later stage investors have no leverage to demand any seniority. In addition, many prominent founders are early stage investors in their own company (i.e. Peter Thiel for Palantir) and would reject any liquidation seniority that was above them.



(Waterfall Graph for Palantir)

The graph above shows the waterfall for Palantir and explains how it works in terms of returns based on different exit valuations.

Liquidation: seniority structures or the waterfall

- Tiered Seniority

In some cases, investors from different rounds can be grouped up into tiered seniority levels. For example, SpaceX has raised about €1.2Bn across 7 rounds. Their Series G to E investors share the highest level of seniority. Their Series D investors share the middle tier. And their Series A to C investors share the lowest tier among preferred shareholders. Within each tier, investors follow the *pari passu* pay-out. You can think of this as a hybrid between the standard seniority and *pari passu* design.

It is important to remember that liquidation preferences can be legally structured in any way. Some companies have exotic variations of the typical setups. Thus, it is important to read legal language carefully in a term sheet (if you are a founder) or certificate of incorporation (if you are an investor) to have a clear understanding of where you stand among others on the cap table.

Worked example.

A start-up is raising €250k in its seed round at a €1m pre-money valuation through the issuance of preferred stock with non-participating liquidation preferences

1. For simplicity's sake, we assume no outstanding debt and no later investors who also receive liquidation preferences.
2. If exactly €250k is raised, the investors would collectively own 20% of the company.

3. The post-money valuation would be €1.25m
4. Ceteris paribus, here are four different scenarios:
   (a) No Liquidation Preference (i.e. just common stock)
   (b) 1x Liquidation Preference
   (c) 1.5x Liquidation Preference
   (d) 2x Liquidation Preference

Return Based on Ownership				
	Liquidation Preference			
Exit Value	0.0X	1.0X	1.5X	2.0X
$3,000,000	600,000	600,000	600,000	600,000
$2,000,000	400,000	400,000	400,000	400,000
$1,000,000	200,000	200,000	200,000	200,000

Return Based on Liquidation Preference				
	Liquidation Preference			
Exit Value	0.0X	1.0X	1.5X	2.0X
$3,000,000	0	250,000	375,000	500,000
$2,000,000	0	250,000	375,000	500,000
$1,000,000	0	250,000	375,000	500,000

We assume that investors are greedy and therefore look for the largest returns, which are highlighted

This table also shows that liquidation preference is important when the company is not doing so well!

Sample Term Sheet

Appendix 3

TERMS OF THE PREFERRED

Liquidation preference: Preferred will have the right to receive one times the Initial Price from proceeds on a liquidation of the Corporation with balance of proceeds paid to holders of Common Shares. A sale of the Corporation's assets, merger, reorganization or similar transaction will be treated as a liquidation of the Corporation.

Conversion: The Preferred may be converted at any time, at the option of the holder, into Common Shares. The conversion rate will initially be 1:1, subject to customary adjustments for stock splits, stock dividends, etc.

Automatic conversion: Each share of Preferred will automatically convert into common shares, at the then applicable conversion rate, upon (i) the closing of a firmly underwritten initial public offering of common shares ("IPO"), or (ii) the consent the holders of at least a majority of the then outstanding shares of Preferred.

General voting rights: Each share of Preferred votes together with the Common Shares on all matters on an as converted basis, except as specifically noted herein or required by law.

SHAREHOLDERS AGREEMENT

Information rights: The Corporation will provide to each holder of at least [_____%][2] of Preferred ("Major Investors"), (i) unaudited annual financial statements and (ii) unaudited quarterly financial statements and an annual business plan. This right will terminate immediately prior to the Corporation's IPO or completion of a Sale Transaction (as defined below).

Protective provisions: So long as any of the Preferred are outstanding, consent of majority of the then-outstanding Preferred will be required for any action that (i) amends the Articles of the Corporation if it would adversely alter the rights, preferences, privileges or powers of Preferred; (ii) changes the number of directors from current number; or (iii) approves any merger, asset sale, liquidation or other corporate reorganization or acquisition.

Pre-emptive rights (to maintain proportionate ownership): Each of the Major Investors will have a right to purchase its *pro rata* share of any offering of new securities by the Corporation, subject to customary exceptions. This right will terminate immediately prior to the Corporation's IPO, a Sale Transaction or [_____][3] years after the date of Shareholders Agreement executed upon Closing.

Co-Sale Rights: In the event that any shareholder ("Selling Party") proposes to sell their shares to a third party ("Third Party"), the Selling Party agrees not to make the sale unless Third Party includes an offer to purchase the shares of the Investors on the same terms. If Third Party has specified a maximum number of shares that they are willing to buy, then the Selling Party and interested Investors may sell their pro-rata share of the amount to be purchased by Third Party.

Election of directors: Provision agreeing to elect the following individuals to the board (i) one representative designated by the holders of Preferred [_____][4] (the "**Investor Nominee**"); (ii) one representative designated by the Founders; and (iii) one representative designated by Common shareholders acceptable to the Investor Nominee and Founders.

Sale Transaction: A "**Sale Transaction**" shall mean (i) any merger, amalgamation, reorganization, consolidation or other transaction involving the Corporation and any other corporation or other entity or person in which the persons who were the shareholders of the Corporation immediately prior to such merger, amalgamation, reorganization, consolidation or other transaction own less than fifty percent (50%) of the outstanding voting shares of the surviving or continuing entity after such merger, amalgamation, reorganization, consolidation or other transaction; (ii) the sale, exchange or transfer by the Corporation's shareholders, in a single transaction or series of related transactions, of all of the voting shares of the Corporation; or (iii) the sale of all or substantially all of the assets of the Corporation.

OTHER MATTERS

Option pool: The number of Common Shares reserved for issuance under the Corporation's stock option plan will be increased to equal [_____%][5] shares outstanding after issuance of the Preferred to Investors.

Share purchase agreement: The Corporation and Investors will enter into a share purchase agreement containing standard representations and warranties, with survival period of _____ years.[6]

Founder matters: Each Founder shall have transferred all relevant intellectual property to the Corporation, entered into an employment agreement with the Corporation and signed agreements with respect to voting and vesting their Founders shares over an agreed term of [_____][7] years, the terms of such agreements satisfactory to Investors prior to Closing Date. The vesting agreement will provide for full acceleration of vesting for all shares held by the Founders on the completion of an IPO or Sale Transaction.

Expenses and fees: The Corporation will reimburse counsel to Investors for legal fees and disbursements, up to a maximum cap of [_____].[8]

Expiration date: These terms are valid until, and will expire on, [_____].[9]

Binding Terms: For a period of thirty days, the Corporation agrees not to solicit offers from other parties for any financing. Without the consent of Investors, the Company will not disclose these terms to anyone other than officers, directors, key service providers, and other potential Investors in this financing.

This Term Sheet may be executed in counterparts, which together will constitute one document. Electronic signatures shall have the same legal effect as original signatures.

[Insert CORPORATION NAME]

Signature

Print name

Print title

Date

[Insert NAME OF INVESTOR(s)]

Signature

Print name

Print title

Date

Sample Shareholders' Agreement

Appendix 4

Draft Shareholders' Agreement Agreement (sometimes called a Subscription Agreement) (English and Welsh law)

Contents

1. Definitions and interpretation
2. Subscription for shares
3. Share capital
4. Management information and observer status
5. Covenants
6. Confidentiality
7. Warranties
8. General
9. No partnership
10. Notices
11. Governing law

Schedule

Part A: Warranties

Part B: Disclosures against the Warranties

This agreement is made the day of 2015

Between:

(1) **FOUNDER 1** of [INSERT ADDRESS]; **FOUNDER 2** of [INSERT ADDRESS]; together the "**Founders**",

(2) **INVESTOR 1** of [INSERT ADDRESS]; **INVESTOR 2** of [INSERT ADDRESS]; AND **INVESTOR 3** of [INSERT ADDRESS]; together the "**Investors**", and

(3) **XYZ LTD** (Company number: [number]) whose registered office is [INSERT ADDREES] (the "**Company**").

Background:

(A) Founder 1 and Founder 2 are the holders of [number]and [number] ordinary shares of €[number] in the capital of the Company respectively.

(B) The Investors have agreed to subscribe for a total of [number] ordinary shares of €[number] in the Company on the term set out in this agreement.

It is agreed as follows:

1. Definitions and interpretation

1.1 In this agreement, unless the context otherwise requires, the following words have the following meanings: "the Act" the Companies Act 2006 (as amended);

"Business Day"	a day on which banks are open for normal banking business in the City of London (excluding Saturdays and Sundays);
"Confidential Information"	all identifiable methodology, know-how, experience, data, databases, flow charts, reports, tables or other material produced by, for or in relation to the Company or any Subsidiary or any other information of whatever kind (whether commercial, technical, financial, operational or otherwise and whether communicated verbally, in writing or in any other form) relating to the Company or any Subsidiary including without limitation its business, products or customers and its lists of customers, suppliers, sales records and price lists;
"Encumbrance"	means and includes any interest or equity of any person (including, without prejudice to the generality of the foregoing, any right to acquire, option or right of pre-emption) or any mortgage, pledge, lien or assignment or any other encumbrance, priority or security interest or arrangement of whatsoever nature over or in the relevant property;
"Group"	the Company and its subsidiaries from time to time; each being a

"Group Company";	
"Shares"	ordinary shares of €[number] each in the capital of the Company;
"Shareholders"	the Founders and the Investors for as long as they hold any Shares; each being a "Shareholder";
"Subscription Price"	€[number];
"Subsidiaries"	the subsidiaries (section 1159 of the Act) and subsidiary undertakings (within the meaning ascribed to such expression by section 1162 of the Act) of the Company from time to time; each being a "Subsidiary"; and
"Warranties"	the warranties set out in the Part A of the Schedule to this agreement, each being a "Warranty".

1.2 In this agreement, unless the context otherwise requires:

(a) words in the singular include the plural and vice versa and words in one gender include any other gender;

(b) a reference to a statute or statutory provision includes:

(i) any subordinate legislation (as defined in Section 21(1), Interpretation Act 1978) made under it;

(ii) any statute or statutory provision which modifies, consolidates, re-enacts or supersedes it;

(c) a reference to:

(i) any party includes its successors in title and permitted assigns;

(ii) a "**person**" includes any individual, firm, body corporate, association or partnership (whether or not having a separate legal personality);

(iii) clauses are to clauses of this agreement;

(iv) this agreement includes the Schedule to this agreement;

(v) any provision of this agreement is to that provision as amended in accordance with the terms of this agreement;

(d) the table of contents and headings are for convenience only and shall not affect the interpretation of this agreement;

(e) general words shall not be given a restrictive meaning:

(i) if they are introduced by the word "**other**" by reason of the fact that they are preceded by words indicating a particular class of act, matter or thing; or

(ii) by reason of the fact that they are followed by particular examples intended to be embraced by those general words;

(f) any reference to "**written**" or "**writing**" includes faxes (but not email) or other transitory forms;

(g) references to any English legal term for any action, remedy, method of judicial proceeding, legal document, legal status, court official or any legal concept, state of affairs or thing shall in respect of any jurisdiction other than England be deemed to include that which most approximates in that jurisdiction to the English legal term; and

(h) references to times of the day are to London time and references to a day are to a period of 24 hours commencing at midnight at the start of the day.

2. Subscription for shares

2.1 Completion shall take place on the signing of this agreement when:

(a) Investor 1 shall subscribe for [number] Shares at the Subscription Price (being an aggregate subscription price of €[number]);

(b) Investor 2 shall subscribe for [number] Shares at the Subscription Price (being an aggregate subscription price of €[number];
(c) Investor 3 shall subscribe for [number] Shares at the Subscription Price (being an aggregate subscription price of €[number];

2.2 On receipt of the subscription monies, the Company shall allot the Shares as set out in clause 2.1 to the respective Investors, record the Investors as the holders of the Shares in the Company's register of members and deliver share certificates to each Investor in respect of his Shares.

2.3 Each Investor warrants that the Shares to be issued to him pursuant to clause 2.1 will not be subject to any Encumbrance.

3. Share capital

3.1 The Founders severally warrant to the Investors that:

(a) the share capital of the Company immediately prior to the completion of the allotment of Shares to pursuant to clause 2.1 comprises [number] Shares; and
(b) the Company shall have the requisite authority to allot the Shares to the Investors pursuant to clause 2.1.

3.2 Founder 1 warrants to the Investors that he owns [number] Shares legally and beneficially and free from all Encumbrances.

3.3 Founder 2 warrants to the Investors that she owns [number] Shares legally and beneficially and free from all Encumbrances.

3.4 No Shareholder shall create any Encumbrance over or otherwise dispose of the whole or part of the shares in the capital of the Company held by him other than in accordance with the Company's articles of association and this agreement.

3.5 The parties acknowledge and agree that the Company may (without additional consent of Shareholders or the application of any pre-emption rights):

(a) issue up to [number] Shares pursuant to an additional funding round;
(b) grant options to employees of and consultants to the Company in respect of up to [number] Shares; and
(c) grant options in respect of up to [number] Shares to the Option Holders on the basis described in Part B of the Schedule.

4. Management information and observer status

4.1 At least once every [number] months the Company shall provide to each of the Investors for as long as they hold Shares a pack of unaudited management information of the Company detailing the performance of the Company during that period.

4.2 If so requested in writing by Investors holding [number]% or more of the issued Shares, the Company provide such information as those Investor shall reasonably request in relation to all matters relating to the business or affairs of the Group or to its financial position or assets within a reasonable time of a request being made

4.3 [person] (or, if [person] so decides,) may attend (but not vote at) any board meeting of the Company as an observer for as long as he holds at least [number]% of the issued Shares.

5. Covenants

5.1 Each Founder severally undertakes to the Investors to comply with the terms of his employment contract with Company (including, without limitation, any restrictive covenants).

5.2 The Company shall not (without the prior consent of those Investors who hold a majority of the Shares held by the Investors from time to time):

(a) amend its articles of association or enter into any transaction or arrangement, if the

result of which would cause the Company and/or the Shares to lose qualifying status for relief under the Enterprise Investment Scheme; or

(b) contravene any of the provisions of Part 5A of the Income Tax Act 2007 and Sections 150E-150G and Schedule 5BB to the Taxation of Chargeable Gains Act 1992 relating to the Seed Enterprise Investment Scheme and thereby prevent or prejudice the availability to the Investors of Seed Enterprise Investment Scheme relief or the continued availability to the Investors of the Seed Enterprise Investment Scheme relief after it has been obtained; or

(c) other than on insolvency, dispose of, or permit another Group Company to dispose of, all or materially all of its undertaking and assets other than to another Group Company.

5.3 Each of the Shareholders:

(a) shall procure (so far as he is able) that shares in the capital of the Company are only issued in accordance with the procedures set out in the Company's articles of association; and

(b) will conduct any transaction between himself (or any company controlled by or associated with him) and a Group Company in good faith and on arm's length terms

6. Confidentiality

6.1 Each Shareholder covenants with each of the other Shareholders and separately with the Company that, subject to clause 6.3 he will not make use of for his own his own benefit or disclose to any person any Confidential Information.

6.2 Except as referred to in clause 6.3, each party shall treat as strictly confidential all information received or obtained as a result of entering into or performing this agreement which relates to the provisions or subject matter of this agreement, to any other party or the negotiations relating to this agreement.

6.3 Any party may disclose information which would otherwise be confidential if and to the extent that:

(a) it is required to do so by law or any regulatory or governmental body to which it is subject;

(b) the information has come into the public domain through no fault of that party; or

(c) each party to whom it relates has given its consent in writing.

7. Warranties

7.1 The Founders and the Company severally warrant to the Investors that each and every Warranty is true and accurate at the date of this agreement.

7.2 In respect of all and any claims in respect of a breach of the Warranties:

(a) the liability of Company shall be limited to the amount subscribed by the investors;

(b) the liability of [founder] shall be limited to €[number]; and

(c) the liability of [founder] shall be limited to €[number]

in each case, exclusive of the costs of recovery reasonably and properly incurred in respect of any successful claim.

7.3 No liability of the Company in respect of any breach of any Warranty shall arise:

(a) to the extent that a matter has been disclosed in writing to the Investors prior to Completion (any such disclosures being set out in Part B of the Schedule); or

(b) if such breach occurs by reason of any matter which would not have arisen but for the coming into force of any legislation not in force at the date of this agreement or by reason of any change to H M Revenue & Customs practice occurring after the date of this agreement.

7.4 No claim may be made against the Company in respect of the Warranties unless written notice of such claim is served on each of the Founders giving reasonable details of the claim by no later than the date which is one year after the date of this agreement.

7.5 The Company shall not be liable for any claim in respect of a breach of Warranty if the alleged breach which is the subject of the claim is capable of remedy and is remedied to the reasonable satisfaction of the Investors [number] days of the date on which the notice in clause 7.4 above is received by the Founders.

7.6 Nothing in this agreement shall prejudice the Investors' duty under common law to mitigate any loss or liability which is the subject of a claim for breach of Warranty.

7.7 The Investors shall not be able to recover more than once in respect of the same loss.

8. General

8.1 *Fraud*

Nothing contained in this agreement or in any other document referred to or incorporated in it shall be read or construed as excluding any liability or remedy as a result of fraud.

8.2 *Good faith*

Each Shareholder undertakes that he will conduct any transaction between himself (or any company controlled by or associated with him) and the Company or any Subsidiary in good faith.

8.3 *Contracts (Rights of Third Parties) Act 1999*

Unless expressly provided in this agreement, no term of this agreement is enforceable pursuant to the Contracts (Rights of Third Parties) Act 1999 by any person who is not a party to it. For the avoidance of doubt this agreement does provide that this agreement is enforceable by any Subsidiary in respect of any undertaking or covenant given in favour of it.

8.4 *Entire agreement and conflicts*

This agreement sets out the entire agreement and understanding between the parties in respect of the subject matter of this agreement.

8.5 *Assignment*

This agreement shall be binding upon and enure for the benefit of the successors in title of the parties but shall not be assignable by any party.

8.6 *Counterparts*

(a) This agreement may be executed in any number of counterparts and by the parties on separate counterparts, but shall not be effective until each party has executed at least one counterpart.
(b) Each counterpart, when executed, shall be an original of this agreement and all counterparts shall together constitute one instrument.

8.7 *Duration*

(a) This agreement may be terminated if agreed in writing by [founder], the Company and those Investors who hold a majority of the Shares held by the Investors from time to time.

(b) This agreement shall cease to have effect in relation to any Shareholder who ceases to hold any Shares, except in relation to:

(i) any provision of this agreement which is expressed to continue after this cessation; and
(ii) any breach of the provisions of this agreement prior to the date of the cessation of any of the obligations of this agreement.

9. No partnership

Nothing contained in this agreement shall constitute or be deemed to constitute a partnership between the parties or any of them.

10. Notices

10.1 Any notice to a party under this agreement shall be in writing signed by or on behalf of the party giving it and shall, unless delivered to a party personally, be left at, or sent by prepaid first class post to, the address of the party as set out on page 1 of this agreement or as otherwise notified in writing from time to time.

10.2 Except as referred to in clause 10.3, a notice shall be deemed to have been served:

(a) at the time of delivery if delivered personally;
(b) 48 hours after posting in the case of an address in the United Kingdom.

10.3 The deemed service provisions set out in clause 10.2(b) do not apply to a notice served by post, if there is a national or local suspension, curtailment or disruption of postal services which affects the collection of the notice or is such that the notice cannot reasonably be expected to be delivered within 48 hours after posting.

10.4 In proving service it will be sufficient to prove:

(a) in the case of personal service, that it was handed to the party or delivered to or left in an appropriate place for receipt of letters at its address; and
(b) in the case of a letter sent by post, that the letter was properly addressed, stamped and posted.

10.5 A party shall not attempt to prevent or delay the service on it of a notice connected with this agreement.

11. Governing law

This agreement shall be governed by and construed in accordance with English law.

This agreement has been signed on the date appearing at the head of page 1.

Schedule

Part A: Warranties

1. There are no liabilities owing by the Company to the Founders and/or any person connected with them.

2. Since incorporation of the Company:

   a. the business of the Company has been conducted in the ordinary and normal course;
   b. no onerous or unusual contract or commitment has been entered into by the Company; and
   c. no agreement or arrangement has been entered into by the Company for the acquisition or disposal of material assets.

3. The Founders will not as a result of their involvement with the Company under this agreement or any other arrangements proposed to be effected between all or any of the parties relating to the Company commit a breach of any existing obligations to third parties.

4. Save as provided in this agreement, there are no agreements in force which require or may require now or subsequently the issue of any share or loan capital of the Company or give or may give to any person the right to call for any shares from the Company.

5. The Company is not at present engaged whether as claimant or defendant or in any other capacity in any legal action proceeding or arbitration which may be of material importance in the context of its business nor are either of the Founders involved personally in any legal proceedings or enquiry for which the Company has or may have any vicarious or other liability and so far as the Founders are aware (having reasonably evaluated the Company's history and relationships), there are no circumstances likely to lead to any such claim, legal action proceeding or arbitration.

6. The Company has filed with the Registrar of Companies all documents required by the Act or any other companies legislation to be filed and has supplied to the Investors a complete copy of its articles of association.

7. The Company has conducted its businesses in all material respects in accordance with all applicable laws and regulations in the United Kingdom or any appropriate foreign country and, so far as the Founders are aware (having reasonably evaluated the Company's history and actions), there is no violation of, or default with respect to, any statute, regulation, order, decree or judgement of any court or any governmental agency of the United Kingdom or any such foreign country which will have an adverse effect upon it or its assets.

8. The Company has good title free from all liens, charges or encumbrances to all of its assets.

9. The Company does not have any investment in another company or business nor is it a member of any joint venture, consortium, partnership, limited liability partnership or unincorporated association.

10. No order has been made, petition presented, resolution passed or meeting convened for the winding up of the Company or for the appointment of an administrator of the Company and no administrative receiver has been appointed of the Company or any of its assets.

11. The Company has full power and authority to enter into and perform its obligations under this agreement and this agreement will, when executed, constitute valid and binding obligations on the Company in accordance with its terms.

Part B: Disclosures against the Warranties

Warranty set out in paragraph 1 of Part A: There are outstanding unpaid expenses incurred by Founders that should not exceed €[number] in total.

Warranty set out in paragraph 4 of Part A: The Company has agreed to issue options over shares to the value of €[number] exercisable in 12 months' time at an exercise price of €[number] to [named Option Holder] of [address] as part of our arrangement with [named Option Holder to provide [describe services] over the next 12 months, in return for a discounted monthly fee.

The Company has allowed for a pool of options over [number] shares ([number]% of fully diluted share capital) to be issued to staff in due course as part of its employment incentives.

Warranty set out in paragraph 6 of Part A: It is intended to move the Company's Registered Office from [address] to [address].

The Company has not yet registered with the Information Commissioner's office in respect of data protection but will do so prior to launch date.

The Company has been advised that it needs to become authorised by [regulatory authority]. This will take c [number] of months to conclude so in the meantime it has been arranged that [describe situation]. This process is underway, and the Company will ensure it has authorisation prior to commencing trading.

Warranty set out in paragraph 8 of Part A: The Company needs to ensure that the Company has full IPR transfer of its new website design and software from its freelance web-designer before the Company pays him in full. The Company is drafting an IPR transfer document and expects to get this signed in [date].

Signed by)

Founder1's name)

in the presence of:)

Signature of witness:

Name:

Address:

Occupation:

Signed by)
Founder 2's name)
in the presence of:)
Signature of witness:
Name:
Address:
Occupation:

Signed by)
Investor 1)
in the presence of:)
Signature of witness:
Name:
Address:
Occupation:

Signed by)
Investor 2)
in the presence of:)
Signature of witness:
Name:
Address:
Occupation:

Signed by)
Investor 3)
in the presence of:)
Signature of witness:
Name:
Address:
Occupation:

Signed by [named person])
for and on behalf of) **XYZ LIMITED**)
in the presence of:)
Signature of witness:
Name:
Address:
Occupation:

Glossary of Terms

These are all terms you should familiarise yourself with if you are going to raise invest in angel deals, especially through equity and debt. They are terms used in all types of fundraising and are just as applicable when it comes to crowd funding or other types of equity investment such as venture capital and private equity.

"A" round

A financing event whereby venture capitalists invest in a company that was previously financed by founders and/or angel investors. The "A" is from series "A" preferred stock. See also "B" round.

Accredited investor, also known as a certificated investor

A term used in both the US and the UK to refer to investors who have been accredited as wealthy enough to invest in high-risk investments – the definition of which is defined in law in each jurisdiction. In the UK, there are certificated high net worth investors and certificated sophisticated investors. In the US, certificated high net worth investors must have free investable assets (excluding their main home) in excess of £1m. In the UK, such investors must have free investable assets of £250,000 or more (excluding their main home, insurances and pensions) or to have an income in excess of £100,000 a year.

Angel investor

According to the World Business Angels Investment Forum (WBAF), an angel investor, sometimes known as a business angel, is someone who provides smart finance, which includes know-how, mentorship and networking in addition to investment capital. He or she typically invests USD50,000 to USD500,000 of their personal funds into any one business.

Annual Recurring Revenue (ARR)

The metric used particularly by companies using Software as a Service or other subscription business models which indicates the contracted recurring revenue from customers over a typical one year period.

Archangel

An angel investor who invests in many businesses, is highly experienced at angel investing and who is respected and followed by other angel investors.

"B" round

A financing event in an unquoted company whereby investors such as venture capitalists are sufficiently interested in a company to provide additional funds after the "A" round of financing. Typically, new investors are invited to join existing shareholders in such a round of financing. Any later rounds are called "C", "D", and so on.

Break-even

The level of sales necessary for a company to cover all its fixed and variable costs. Above break-even sales, a company will be profitable.

Business angel

According to the World Business Angels Investment Forum (WBAF), an angel investor, sometimes known as a business angel, is someone who provides smart finance, which includes know-how, mentorship and networking in addition to investment capital. He or she typically invests USD50,000 to USD500,000 of their personal funds into any one business.

Business angel networks (BANs)

Private or public sector owned and operated networks where business angels can see private equity investment opportunities and decide whether to opt into an investment. Such networks also enable angel investors to syndicate investments. Many networks in the UK operate small venture capital funds that can invest alongside angel investors in the network. Often these funds have been invested by private investors or angel investors in the network. Typically, networks do not act in a corporate finance or other advisory role.

Capital gains

The difference between the price paid for shares (or other capital assets) and the price at which they are sold.

Cap table or capitalisation table

The cap table comprises the details of all shareholders and option holders in a company. It typically lists all the different rounds of investment and who has invested and how much they have invested in each round.

Carry

The share of profit handed to a fund manager from the exit proceeds on the sale of an investment when that investment has met and/or exceeded the hurdle rate.

Cash cow

An investment that is making strong profits and generating cash which it can use for further investment in growth and or to pay dividends to shareholders.

Cash-flow

The flow of cash in and out of a company. A company may be profitable but still have a negative cash flow and therefore fail. A company may be loss-making and, for a time, still have a positive cash flow. First-time entrepreneurs should take care to understand the distinction between profit and loss and cash-flow.

Caveat

Caveat means beware or be careful. It is used to help people understand they must do extra research before deciding. Caveat Emptor is a term used to explain that the buyer must make themselves aware of everything they need to know before they buy something as the seller will not be held responsible afterwards.

Co-investment/syndication

When a group of investors invests alongside one another in an investee company. Frequently this includes individuals (usually general partners) alongside a private equity fund or venture capital in a financing round.

Company Voluntary Administration (CVA)

The process by which a company directors enter into a voluntary administration with the agreement of their creditors. Under a CVA the company is protected from being forced into receivership. The company directors present a plan to pay off its debts to the creditors who vote to approve it. Provided the debts are repaid in line with the agreement, the company can keep trading under the existing management team.

Compound Annual Growth Rate (CAGR)

The compounded annual growth rate is the total return that is required to grow from the date of investment until the date of divestment assuming all profits are reinvested.

Convertible bonds/convertible loan notes

A formal loan instrument used to record the money a company has borrowed and the terms of borrowing, e.g. the interest rate, the date it will be redeemed and the dates on which interest will be paid. The instrument also defines the terms on which the loan can be converted into equity shares, including how the conversion will be calculated and the dates on which it can be converted.

Corporation tax

The tax on company profits.

Corporate angel investor

A company typically owned by a family, which invests in a way similar to angel investors but uses its own balance sheet to invest.

Current assets

Assets that can be converted into cash within 12 months or used in the same period to pay a company's liabilities. Typically, current assets will include stock waiting to be sold and debtors who are due to pay their bills within 12 months. See also fixed assets.

Data Room

A data room is usually set up online, although occasionally it might be in a physical room. It contains all the documents a company wants to make available to potential investors or trade buyers.

Death Valley

This is the stage when the business has started, but is not either making sales or not generating enough cash flow from sales to meet the costs of providing

the product or service to customers. A company needs to raise external capital in the form of equity, and sometimes debt, to meet its costs whilst it is in Death Valley.

Development capital/expansion capital/ growth capital

This usually refers to equity capital raised to provide for the company to grow ambitiously.

Dilution

When an existing shareholder sees their percentage, shareholding reduced by the issuing of new shares to third parties/new investors. This also can take place due to the conversion of other instruments into the class of shares or by a new financing round.

Dilution protection

This is a provision frequently demanded by venture capitalists and mainly applies to ordinary and convertible shares. It involves the issue of more ordinary and convertible shares for no cash to the shareholder in a later funding round in order to ensure that these shareholders retain the same percentage of the company that they held before the fundraising. Sometimes it is affected by existing shares being split in an appropriate ratio to have the same impact. Shareholders' agreements also typically contain anti-dilution provisions in the event of a down-round.

Discounted cash-flow

In finance, discounted cash flow (DCF) analysis is a method of valuing a project, company, or asset using the concepts of the time value of money. All future cash flows are estimated and discounted by using cost of capital to give their present values (PVs). The sum of all future cash flows, both incoming and outgoing, is the net present value (NPV), which is taken as the value of the cash flows in question.

Using DCF analysis to compute the NPV takes as input cash flows and a discount rate and gives as output a present value; the opposite process—takes cash flows and a price (present value) as inputs, and provides as output the discount rate or in bond markets to obtain the yield.

Discounted cash flow analysis is widely used in investment finance, real estate development, corporate financial management and patent valuation. It was used in industry as early as the 1700s or 1800s, widely discussed in financial economics in the 1960s, and became widely used in U.S. Courts in the 1980s and 1990s.

Dividends

Once a company is profitable is it able to declare that some or all its profits should be paid out to its shareholders. Such payments are known as dividends.

Dog

An investment that is alive but failing to grow and which is unlikely to deliver a positive return for its investors.

Down-round

A down-round is when a later fundraising takes place that values the shares already in issue before the fundraising at a lower price than the price that investors originally paid for them.

Drag-along rights/pull-along rights

A majority shareholder's right, obligating shareholders whose shares are bound into the shareholders' agreement to sell their shares into an offer the majority wishes to execute. See also tag-along rights.

Dragon

A single investment which returns all the capital in a fund. A **double dragon** is when a single investment returns twice the capital in a fund.

The word is also used in television programmes to describe an angel investor.

Due diligence

This is when potential investors analyse and assess the desirability, value and potential of an investment opportunity. This can vary from a relatively light-handed procedure to an extensive exercise taking months. It

is frequently a cause of the great length of time it can take to complete a financing round.

Early stage

When a company that has completed its seed stage and its start-up stage, has a core management team, has proven its concept or completed its beta test, has achieved some sales, but is not yet profitable or cash flow positive. See also seed stage.

EBITDA (Earnings before interest, taxes, depreciation and amortization)

This is used as a measure of cash flow as it adjusts for non-cash items in the profit and loss account, interest and tax. It also indicates what funds a company might have available to fund loan payments on borrowings.

Earnings per share (EPS)

The net profit divided by the number of ordinary shares in issue. Fully diluted earnings per share is calculated as the net profit divided by the total number of shares that would be in issue if all the shares in share option plans etc were exercised.

Elevator pitch

A very short (one to five-minutes) presentation of an entrepreneur's idea, business model and case and details of their competitive position delivered to potential investors.

Enterprise Investment Scheme (EIS)

The EIS was launched in the UK in January 1994 and aims to encourage wealthy individuals to invest in smaller, unquoted companies and becoming to play an active part in their management, thereby angel investors.

An EIS investor receives capital gains tax and income tax relief at varying levels provided the shares that are held under EIS are owned for three years. If the investment fails, further tax relief is available. Under the EIS an angel investor may be paid a reasonable salary by the investee company and may become a director, but must not have been previously involved with the company before investing. There are restrictions on which types of company are eligible under EIS. If a company obtains a quotation on the main market of the London Stock Exchange within the qualifying period for EIS tax relief, the investor loses those reliefs, but the company can list on the AIM and others without losing the relief. Many countries have similar schemes which may be called by different names.

EIS Fund

A fund that operates within the rules of the EIS Scheme.

Enterprise value (EV)

This is a "truer" measure of a company's value as it includes the debt and quasi-debt that an acquirer would have to take on when buying a company as well as market capitalisation. It also adjusts for cash and cash equivalents that an acquirer would have access to if it controlled the company.

Entrepreneur

Normally an owner of an independent business and a term used to describe an enterprising person, and therefore often related to the setting up of a new or growing company. Business owners who have no ambitions to grow their business beyond a level that gives them a secure income would not necessarily be described as entrepreneurs. Entrepreneurs are also typically those who are seeking venture capital.

Equity

Equity or share capital is the risk capital provided to finance a business. If the business fails, the equity capital will usually be lost. If the business succeeds, the profits belong to the shareholders.

Equity gap

The phrase, equity gap, was coined in a UK report in the 1920s, known as the Macmillan Report. It describes where companies cannot get finance from conventional sources such as banks or the public markets because it is too small or risky.

Exit route/exit strategy

The method for liquidating an investment in a company while obtaining the maximum possible return. Exit

strategies can include selling or distributing the investee company's shares in and after an initial public offering (IPO), a sale of the investee to another company, an MBO or a recapitalisation. Increasingly, venture capitalists are considering selling in the secondary market as other exit opportunities are limited.

Factoring

A company goes to a factor to discount its invoices, with the factor paying a percentage of the value of the invoice upfront and the balance, minus a fee, when the invoice is finally paid by the creditor. A similar exercise is called invoice discounting, when the company manages its own sales ledger and debt collection rather than the factoring agency doing so.

Family Office

A family office is a private company that manages investments and trusts for a single wealthy family. Sometimes one organisation acts as a Family Office for several wealthy families. Sometimes wealthy families have Family Investment Companies, part of which comprises the family office.

Financial Conduct Authority (FCA)

The immensely powerful UK regulator of the financial services industry. It is often referred to as "the Regulator" and has recently replaced the Financial Services Authority. All countries will have an organisation that regulates their financial markets.

Fiscal incentives

These are tax incentives given by the government to encourage either entrepreneurs or investors or both to take on higher risk activities than they would otherwise have done. They normally take the form of a reduction in taxes paid by the individual, or sometimes, by a business.

Fixed assets

Assets such as land and buildings that are fixed and cannot be moved or sold easily or quickly. See also current assets.

Free cash flow

The cash flow of a company available to service the capital structure of the firm. It is typically measured as operating cash flow less capital expenditures and tax obligations.

Friends and family shares

Shares to friends and family members issued early in the life of a company. Usually these shares are issued at a heavily discounted rate compared with the price achieved at an eventual IPO.

Fund of funds

A specialist fund set up to invest in a range of private equity fund managers, who in turn invest the capital into investee companies. It is used as a method by investors to spread risk across a wider private equity portfolio than would otherwise be achievable.

Gearing

The ratio of debt to equity in a company. In general, the higher the gearing the higher the percentage of annual profits that must be used to pay interest and the greater the vulnerability of the company to events outside its control such as a rise in interest rates or a fall in sales. There is no precise and accepted definition of gearing and therefore the way the figure is calculated should be checked. Grey areas can be long-term loans from shareholders and convertible equity. Gearing is also known as leverage.

General partner

The general partner is responsible for all management decisions of a limited partnership. The general partner has a legal duty to act in the best interests of the limited partners and is fully liable for the organisation's actions.

Greenshoe

The mechanism by which advisers in an IPO draw down additional shares from existing investors in the period post flotation to sell in the market to maintain an orderly market and share price.

Hostile bid

A hostile bid is when a company or sometimes an individual, makes a bid for a company that is unwelcome to the company's directors.

Hurdle rate

The hurdle rate is expressed as percentage. It is the IRR that the deal or fund must meet and exceed before carry is paid to the fund manager.

Indemnities

The promise that if warranties made by a warrantor are proved to be false then compensation will be paid to the people to whom the warranty has been addressed.

Initial public offering (IPO)/flotation

This is when a company lists its shares for the first time on a stock market such as the main list of the London Stock Exchange, AIM or, in the US, NASDAQ.

Intellectual property

A company's intangible assets, including patents, brand names, etc.

Investment memorandum

See Shareholders' Agreement.

Invoice discounting

A variation of factoring.

Internal rate of return (IRR)

Internal rate of return is the calculation used to estimate the profitability of an investment. It is used in angel and venture capital investment by investors to set a target return that an investment should achieve. It is the basis for setting the hurdle rate which is used in calculations for the carry which could be received by fund managers and is designed to incentivise them to perform.

J Curve or Hockey stick projections

The general shape and form of a chart showing the financial and associated projections that increase dramatically at some point in the future. Frequently used as a derogative term to describe the over-optimistic projections prepared by entrepreneurs.

KPI and KRI

Key performance indicators (KPI) and Key Risk Indicators (KRI) are the measures by which a company check itself as it grows. The company sets its own KPIs, but they may include such things as sales and profits growth, sales per employee and number of customers. The key risk indicators can range from customer complaints to the amount of cash in the company in terms of months of costs. Both KPIs and KRIs should be calculated regularly – at least quarterly, if not monthly and must be useful. Management teams and investors should agree what is going to happen if a KPI or KRI is not met before this happens.

Latent investor

This is an investor who has not invested yet, but is intending to invest in the next year.

Lead investor

The angel investor or venture capitalist who leads the fundraising and leads the shareholders once the investment round is completed. Usually, although not always, they will be the largest investor in the company.

Leasing

Payment for an asset by regular payments over a fixed period, with ownership of the asset held by the lessor. Depending on the terms of the lease, the asset can be retained by the lessor or acquired by the lessee. Can be an off-balance sheet method of financing and therefore not readily identifiable by third parties, although it has a significant effect on gearing.

Lemon

A bad investment. "Lemons ripen before plums."

Limited partner (LP)

An investor in a limited partnership who has no voice in the management of the partnership, has limited liability and has priority over general partners in the liquidation of a partnership.

Limited liability partnership

A partnership comprised of a general partner and limited partners. The general partner receives a management fee and a percentage of the profits (or carried interest). The limited partners receive income, capital gains and tax benefits.

Liquidation

The sale of all of a company's assets, for distribution to creditors and shareholders in order of priority.

Liquidation preference

The contractual right of an investor to priority in receiving the proceeds from a liquidity event. For example, two times liquidation preference equates to the right to receive two times the original investment in a liquidity event ahead of any distribution of proceeds to other equity investors.

Liquidity event

When an investor realises a gain or loss on an investment and ends their relationship with an investee company.

Listing

When a company trades it shares on a stock market.

Loan capital

A form of debt that must be repaid at a specified time in the future (as distinct from a bank overdraft that may be called in at short notice).

Lock-up/lock-in

The period during which certain shareholders waive their rights to sell their shares and are physically prevented from selling after the flotation of a company. Underwriters to a flotation generally insist upon lockups of at least 180 days from shareholders with 1% ownership or more in order to allow an orderly market to develop in the shares. The management and directors of the company and strategic partners are also usually subject to a lock-up.

Mezzanine financing

Financing for a company immediately prior to its IPO. Mezzanine-level financing can be in the form of preference shares , convertible bonds or subordinated debt.

It can also be a financing instrument that has elements of both debt and equity, e.g. convertible debt.

Net asset value (NAV)

The net assets or investments in the company or fund divided by the outstanding number of shares of the company or fund.

Net present value (NPV)

The sum of the cash flows of a project or investment, including the initial cash investment and final cash realised on exit, discounted to come to a present value of those cash flows.

Newco

A generic name for any new company.

Non-disclosure agreement (NDA)

The agreement issued by entrepreneurs to potential investors to protect the privacy of their ideas when disclosing those ideas to third parties.

Non-executive director (NED)

"Part-time" directors who share all the legal responsibilities of their executive colleagues on the board of a company. The general view is that they can operate as an independent director able to take a long-term view of a company and protect the interests of shareholders. An investor will often appoint a non-executive to the board of an investee company as one way of monitoring their investment.

See also Shadow director.

Observation rights

The right taken by non-management shareholders to attend and observe, but not actively participate in, a company's board meetings.

Option pool

The number of shares set aside for future issue to employees of a private company.

Pari passu

Equal to.

Participating preferred shares

Shares that bear the right to a stated dividend (and frequently a return of the original investment upon flotation or sale of the company) and to additional dividends related to payments of dividends to ordinary shareholders.

Partnership

An entity in which each partner shares in its profits, loses and liabilities. The entity itself is not taxed. Instead, each partner is responsible for the taxes on their share of the profits and losses.

Plum

A successful investment. "Plums ripen later than lemons."

Poison pill

A right issued by a corporation as a preventative anti-takeover measure enabling a party to purchase shares in either their company or in the combined target and bidder entity at a substantial discount, usually 50%. This discount may make the takeover prohibitively expensive. This is common in the US. Companies may also adopt other types of strategy that have the same effect i.e. to make a company unattractive to a potential bidder.

Portfolio company

The companies in which a venture capital fund is invested.

Post-money valuation

This is the valuation of the company immediately after a round of financing. It comprises the enterprise value of the company and the amount of cash invested in the round. For example, a venture capitalist may invest €3m in a company valued at €2m "pre-money" (before the investment was made). As a result, the start-up will have a post-money valuation of €5m.

Pre-emption right

A shareholder's right to acquire shares in the future when a new round of financing is held, thereby preventing that shareholder from being diluted.

Pre-money valuation

The valuation of a company prior to a round of investment. This valuation is calculated using various methods, such as discounted price earnings ratios multiplied by historical, current or future earnings, or an NPV computation. It can also be calculated based on the valuations of comparable quoted companies and on the valuations achieved in previous exits of comparable private companies.

Preference shares/preferred shares

A class of shares that may pay dividends at a specified rate and that has priority over common stock in the payment of dividends and the liquidation of assets.

Preferred dividend

A dividend accruing on preferred shares.

Price earnings ratio (PER or P/E)

The quoted market price per share divided by earnings per share, or, alternatively, market capitalisation divided by net profit after tax. Used by analysts as an indicator of the expected future performance of a company relative to its peers.

Private equity

Shares in a company that is not listed on a public exchange. Such shares are generally illiquid and thought of as a long-term investment. As they are not listed on an exchange, any investor wishing to sell their shares must find a buyer in the absence of a marketplace, and there are often restrictions on their ability to transfer these shares under the terms of the shareholders' agreement.

Private placement memorandum/investment memorandum

The document supplied by a company and often prepared with the support of expert advisers such as corporate financiers and lawyers which details the fundraising. In many ways it is like a business plan used to fundraise from private investors.

Problem child

An investment that is causing problems to its investors and which will probably need further investment.

Ratchet/sliding scale

The basis for offering increased equity interest in a company to its management, based on the results of the company and performance of the management team.

Recapitalisation

The reorganisation of a company's capital structure.

Receivership

The common term for administrative receivership, which is when a company's directors are no longer able to manage the company themselves and vote to transfer administration of the company to specialist receivers who manage the business in order to meet the costs of paying off creditors to the company (including the taxman, lenders, suppliers who are owed money and, finally, shareholders). Going into receivership does not inevitably mean that the company will fail, as receivers will usually first try to find a buyer for the business as a going concern (i.e. while it keeps trading). There are lots of legal procedures and processes relating to going into receivership, which include an investigation into the directors who have passed the company into receivership. The receiver's report on the company administration and receivership may be passed to appropriate authorities who may take action against the directors, which could include the individual/s being facing fines and/or disbarred from accepting other directorships for a certain period of time. If a crime is uncovered, criminal prosecutions may also result.

Redeemable preferred shares/exploding preferred shares

Shares that are redeemable (i.e. bought back by the company) at the shareholder's option after (typically) five years, which in turn gives the shareholders (potentially converting to creditors) leverage to induce the company to arrange a liquidity event.

Restructure

This usually involves major changes in the organisation of a company, possibly by changing the management and/or the share ownership structure.

Return on capital employed (ROCE)

Here is the calculation for ROCE:

ROCE = earnings before interest and tax (EBIT) / (capital employed + short-term borrowings – intangible assets)

ROCE provides an idea of the efficiency and profitability of a company's capital investments. Return on average capital employed (ROACE) can also be calculated; this takes the average of opening and closing capital employed for the time period and gives a more measured result, adjusting for movements in the company's assets over time. Calculations of ROCE are a popular measure used by value-driven investors.

Rights issue/offer

This is when a company offers new shares to existing shareholders, usually at a discount to the market price. In the case of an unquoted company the market price will probably be set by the directors of the company and may or may not be at a higher or lower level than the post-money valuation of the previous round of funding. Shareholders who do not exercise these rights are usually diluted by the offering. Rights are often transferable, allowing the holder to sell them on the open market to others who may wish to exercise them.

Risk/risk factors

Investors accept risks when they invest. The principal risk is that they lose money on their investment. This can be due to inflation, interest rates, default, politics,

foreign exchange, call provisions, etc. but also due to the company performing poorly. In private equity, the risks that the investors are likely to face are included in the risk factors section of the private placement memorandum.

Roadshow

This is when a company makes a series of presentations to potential investors to tell them about their business and to invite them to invest. It is also known as a "dog and pony show". The company will usually be accompanied by its financial advisers.

Roll-over relief

Tax relief, or more precisely tax deferral, on capital gains that is granted if the gains are reinvested in a suitable vehicle, e.g. an EIS qualifying company. Typically, if rollover relief is applied, the taxable gain will have to be paid when the investor realises the investment they have used for the roll-over. Tax will become payable at the prevailing rate when the investment is realised and not at the original tax rate that applied when the roll-over was made.

Run rate

How the financial performance of a company would look if you were to extrapolate current results over a certain period. The run rate helps to put the company's latest results in perspective. For example, if a company has revenues of €100m in its latest quarter, the CEO might say: "Our latest quarter puts us at a €400m run rate." All this is saying is that if the company were to perform at the same level for the next year, they'd have annual revenues of €400m. The run rate can be a very deceptive number, especially in seasonal industries. A great example of this is a retailer after Christmas. Almost all retailers experience higher sales during the holiday season. It is very unlikely that the coming quarters will have sales as strong as those in the fourth quarter, and so the run rate will likely overstate next year's revenue.

Run rate can also refer to the average annual dilution from company stock option grants over the most recent three-year period recorded in the annual report.

Salami round

When a company completes a single round of investment over a long time period (months) without formally closing the investment round.

Shareholders Agreement or Subscription Agreement

This is the legal agreement signed by the company and all the investors which includes the details of the investment round and any other relevant matters such as how shares can be bought and sold, the rules around the exit of the business, rights to appoint directors and clauses around employment and departure of key individuals (known as good and bad leaver clauses). The Shareholders' Agreement is a confidential document that others cannot see unless the signatories to the agreement give permission (only excepting if disclosure is required by legal or regulatory authorities).

Secondary market

The market for the sale of partnership interests in private equity funds. Sometimes limited partners choose to sell their interest in a partnership, typically to raise cash or because they cannot meet their obligation to invest more capital according to the takedown schedule. Certain investment companies specialise in buying these partnership interests at a discount. The term secondary market is also used in relation to listed securities which trade on a stock exchange.

The term used to describe the sale and purchase of shares in a company either by existing investors in the company to each other and/or to new investors or after its flotation on a stock market.

Seed fund

A venture capital fund that only invests small sums in start-up or pre start-up businesses.

Seed stage/seed capital

The first round of capital for a start-up business. Seed money usually takes the structure of a loan or an investment in preferred stock or convertible bonds, although sometimes it takes the form of common stock.

Seed money provides start-up companies with the capital required for their initial development and growth. Angel investors and early stage venture capital funds often provide seed money.

Seed stage financing

An initial stage of a company's growth characterised by establishing a management team, business plan development, prototype development and beta testing.

Senior debt

The element of a financial package that consists of bank lending. It is called "senior" because if things go wrong, the lender has higher priority on a distribution of funds than those who provided mezzanine or equity finance.

Shadow director

A person who, although they are not legally a director of a company, is deemed to play the de facto role of a director in that company, e.g. they have enough influence over decisions made by the company. This can be a significant issue for large shareholders in a company who may not wish to have a board seat, but can find themselves responsible for a company's actions if they have been involved in running the company or influencing how it is run. It can also be an issue for angel investors who do not have a formal directorship but whose influence over the founders means that they are, in effect, direction the actions of the company. In some jurisdictions, the behaviours of the individuals operating as shadow directors will be the deciding factor as to whether the individual is a director, not whether the director has been officially appointed to the company.

Share option/stock options

The right to purchase or sell a share at a specified price within a stated period. The transaction takes place between the existing shareholder and another party. Note: frequently the term "warrant" is used interchangeably with "option". Options are often used for employee incentives and compensation.

Share option Agreement

Both companies and shareholders in a company can sell a share option to a third party. This is the agreement that is signed by the company and other parties which sets out the terms of how the share options are to be issued, when and how they vest (i.e. convert into real shares) and other relevant matters.

Shark

A term used to describe someone whose behaviour in business is dangerous. Also used in television programmes about unquoted investment in a similar way to the term Dragon. e.g. Shark Tank.

Silent partner

An investor who is not involved in the running or strategic direction of a company of which they are a shareholder.

Slippage

A delay experienced by a company in achieving financial projections as forecast by the company's plan.

Sole investor

The only investor in a company other than the founders.

Sophisticated investor

An investor in high-risk assets (e.g. private equity) who has been approved by a specialist in the relevant field as being an expert in investing in that asset class. In the UK, the term is defined in the Financial Services and Markets Act 2000. A sophisticated investor has less protection under the law than other types of investor, such as "ordinary" investors, who are often called "retail investors".

Spin-out

The emergence of a company from a larger entity, e.g. from a business or, more commonly in the UK, from a university research department.

Star

A high-growth company performing well.

Start-up capital

Capital that is raised after the seed capital stage to enable the company to commence trading.

Strategic investors

Investors who add value to a company by using their industry and personal ties.

Subordinated debt

A loan that ranks behind a company's other loans if that company becomes insolvent or goes into liquidation. It is repaid only after more senior debt has been repaid. Often, new investors will insist that existing loans made by investors will be subordinate to their own as one of the conditions of their funding.

Sweat equity

Equity that is given to the founder of the company in recognition of the effort (sweat) that they have expended in getting the company started.

Syndicate

Underwriters or brokers/dealers who sell a security as a group.

Tag-along rights/rights of co-sale

This is when a minority shareholder is given the right to include their shares in any sale of control and at the same price offered to the majority shareholders.

Takedown schedule

The schedule agreed between limited and general partners which states how much money the limited partners can demand from the general partners for new investments. Sometimes known as Drawdown.

Term sheet

A summary of the terms the investor is prepared to accept. This is a non-binding outline of the principal points that the subscription agreement and related agreements will cover in detail. The term sheet will also include provisions such as time limits on the funding offer and confidentiality.

Time value of money

The concept that all money can earn a cash return, therefore €1 today will be worth more in the future if invested, after adjusting for inflation.

Trade sale

The sale of a company to another company. As a form of exit, it is an alternative to flotation and is more common.

Treasury stock

Redeemable stock issued by a company, but later reacquired. It may be held in the company's treasury indefinitely, reissued to the public, or retired. Treasury stock receives no dividends and does not carry voting power while held by the company.

Turnaround

An investment in a company in trouble that seeks to revive the company's fortunes and set it on a profitable course.

Unicorn

An investment which reaches a €1bn or higher valuation.

Venture capitalists

Individuals who invest other people's money in early stage companies. Typically, part of a venture capital firm. In some cases, they offer managerial advice or support in return for a management fee.

Venture catalyst

Venture catalysts help speed up the process of a company raising investment by screening business plans.

Vest or vesting

The point at which a share option holder has to right to convert their converts and their options into shares in a company.

Vintage year

The year a fund starts to make investments.

Vulture capital

A derogatory term used about venture capitalists by people who believe that venture capitalists take too much and offer too little when they invest.

Warrant/stock purchase warrant/ subscription warrant

A type of security that entitles the holder to buy a proportionate number of shares at a specified price at any time or at certain points for a period of years. Warrants are usually issued alongside another instruments, e.g. ordinary or preference shares or a bond to enhance the marketability of the accompanying securities.

Warranties

Assurances that are given by the selling shareholder or the directors of a company, verifying that statements they have made about the company and the state of the finances are true. See also indemnities.

Weighted average cost of capital (WACC)

A calculation of a firm's cost of capital that weights each category of capital proportionately. Included in the WACC calculation are all capital sources, including all types of shares and debt. WACC is calculated by multiplying the cost of each capital component by its proportional weighting and then adding them all up.

WACC is the average of the cost of each of these sources of financing weighted by their respective usage in the given situation. A weighted average identifies how much interest a business must pay for every pound, euro or dollar it takes from both equity and debt providers. It also identifies the total return needed on the business. It is the correct number to use when calculating cash flows for the business.

White knight

An investor who rescues a company in distress. It can also be a bidder considered to be friendly to the interests of the management who is invited to bid for a company when the takeover target is facing a hostile bid.

Working capital

Capital that is used to finance the ordinary trading activities of a company, e.g. raw materials and labour costs, and to finance debtors or receivables. An accounting definition would be current assets minus current liabilities. Note: for start-up businesses, the working capital requirements can be larger than the requirements to acquire fixed assets. For some trading businesses a rise in sales can lead to a disproportionate increase in working capital requirements.

Workout

A negotiated agreement between debtors and creditors outside the bankruptcy process.

Write-off

This is when an asset's value is written down to nil on the balance sheet and the write-off amount is taken as an expense through the profit and loss account. It is a non-cash item.

Write-up/write-down

A subjective upward or downward adjustment to the value of an asset on a balance sheet. In the case of a very large asset, a company may seek an independent valuation from an expert to justify their write-up/write-down to investors and third parties.

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